BOC KENYA PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS
2019

BOC GASES
A Member of The Linde Group


BOC GASES
LIQUID OXYGEN
VIT 1139
MAX 90,000M³
VALVES NO12-13
TO BE KEPT
SHUT AFTER
DECANTING
1073
2
BOC GASES
Liquid Oxygen
No Smoking

NOTICE OF DEFERMENT OF ANNUAL GENERAL MEETING AND RELATED MATTERS

Dear Shareholders,

The World Health Organization categorized the severe acute respiratory syndrome Coronavirus 2 (Covid-19) as a pandemic and our Government, in response upon advent of the virus in Kenya, announced bold measures to contain the spread of the virus including suspension of public gatherings and meetings nationwide.

The Capital Markets Authority (CMA) together with other capital markets industry stakeholders also unveiled measures designed to support the national strategy to manage the impact of Covid-19 and to ensure business continuity.

To address the challenges posed by the need for social distancing occasioned by Covid-19 the CMA, vide Circular Nos. CMA/MRT/003/2020 and CMA/MRT/004/2020, recognized the need for deferment of imminent Annual General Meetings (AGMs) and in addition provided regulatory flexibility by allowing the progression, by Boards of issuers of securities to the public, of some of the activities usually sanctioned during AGMs for listed companies namely; declaration and payment of dividends, allotment of shares by way of capitalization of reserves or undistributed profits or scrip dividends, re-election of directors and the appointment and remuneration of auditors.

In view of the above Government and regulatory directives and guidance, the Board of BOC Kenya Plc hereby gives **NOTICE** to Shareholders of the following:

1. The 2020 AGM of the Company, ordinarily convened during the month of June in any year, is deferred in compliance with Government social distancing directives, to an appropriate point in time when social distancing guidelines are lifted by the Government. Notice of the AGM will be issued in accordance with the Articles of Association of the Company.

2. During the year 2019 an interim dividend of KShs 2.35 per share (2018: KShs 2.20 per share) was paid. The Board does not recommend the payment of a final dividend.

3. In accordance with Article 29 of the Articles of Association, Mr. A. Kamau, Mr. M. Kruger and Mr. S. Maina are eligible to retire by rotation and offer themselves for re-election. Pursuant to guidance offered by the Capital Markets Authority vide Circular No. CMA/MRT/004/2020, Mr. A. Kamau, Mr. M. Kruger and Mr. S. Maina shall continue serving as Directors subject to ratification by Shareholders at the next AGM of the Company when convened.

4. The Board has sought and received proposals from various accountancy firms for the provision of external audit services to the Company commencing the financial year 2020. Vide CMA Circular No. CMA/MRT/004/2020, the Board will progress the appointment and remuneration of the external auditor selected and present the same to Shareholders for ratification at the next AGM of the Company when convened.

By Order of the Board

R. T. Ngobi (Ms.)
Company Secretary
Kitui Road, Industrial Area
PO Box 18010-00500
Nairobi
20 April 2020

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CORPORATE INFORMATION

Board of Directors

Mr. R. Mbugua**	(Chairman)
Mrs. M. Gathoga-Mwangi	(Managing Director)
Mr. A. Kamau	(Finance Director)
Mr. M. Kruger*	
Mrs. L. Njoroge***	
Mrs. C. Wetende**	
Mr. S. Maina**	
Mr. R. Chetty*	
Ms. R. T. Ngobi	(Company Secretary)

Audit and Risk Committee

Mr. S. Maina**	(Chairman)
Mr. M. Kruger*	
Mrs. L. Njoroge***	
Mrs. C. Wetende**	
Mrs. M. Gathoga-Mwangi	(permanent invitee)
Mr. A. Kamau	(permanent invitee)
Ms. C. Atakos	(permanent invitee)
Ms. R.T. Ngob	(Secretary)

Nominations and Corporate Governance Committee

Mr. R. Mbugua**	(Chairman)
Mr. M. Kruger*	
Mrs. C. Wetende**	
Mrs. M. Gathoga-Mwangi	(permanent invitee)
Ms. R.T. Ngobi	(Secretary)

Retirement and Remunerations Committee

Mrs. L. Njoroge***	(Chairman)
Mr. R. Chetty*	
Mrs. C. Wetende**	
Mrs. M. Gathoga-Mwangi	(permanent invitee)
Mr. A. Kamau	(permanent invitee)
Mrs. S. Onyoni	(permanent invitee)
Ms R.T. Ngobi	(Secretary)

* Non-Executive Directors
** Independent Non-Executive Directors
*** Mrs. L. Njoroge resigned from the Board on 28 February 2020

Auditor

KPMG Kenya
ABC Towers
ABC Place
Waiyaki Way
PO Box 40612 – 00100
Nairobi

Transfer Agents

Custody & Registrar Services Limited
Bruce House, 6th Floor, Standard Street
PO Box 8484 – 00100
Nairobi

Advocates

Kaplan & Stratton
Williamson House
4th Ngong Avenue
PO Box 4011 – 00100
Nairobi

CMS Daly & Inamdar Advocates
ABC Towers, 6th Floor,
ABC Place
Waiyaki Way
PO Box 40034 – 00100
Nairobi

Bankers

Citibank NA
Standard Chartered Bank Kenya Limited

Secretary and Registered Office

Ms. R.T. Ngobi (CPS No. 726)
Company Secretary
Kitui Road, Industrial Area
PO Box 18010 – 00500
Nairobi

ABOUT US

BOC Kenya Plc (the "Company") is a leading supplier of industrial, medical and special gases in Kenya, Tanzania and Uganda. The Company set up in Kenya in 1940 and listed on the Nairobi Securities Exchange in 1969. Established in 1886 in Britain, the BOC organisation has been producing industrial gases for more than 120 years.

Internationally we are a member of The Linde Plc, a world leading gases and engineering company with approximately 80,000 employees working in more than 100 countries worldwide. The Company's immediate majority shareholder is BOC Holdings UK, which became a member of the Linde Plc in 2002.

The Company's portfolio includes dozens of different gases and mixtures, as well as related equipment and services. The Company's customer base cuts across a large spectrum and includes public and private hospitals, food processors, civil and mechanical engineering contractors, motor vehicle body builders, hotels and restaurants, the informal business sector ("Jua Kali") and small and medium enterprises.

Our product range includes:

— Bulk gases (liquid oxygen and liquid nitrogen).
  BOC boasts of the only Air Separation Unit (ASU) in Kenya capable of producing liquid gases with purity levels of 99.95%. We provide gas solutions in high pressure cryogenic vessels, tailored for specific applications.

— Packaged (cylinder) gases
  These comprise the Company's primary product line and include medical gases, industrial gases, special gas mixtures and liquefied petroleum gas.

— Engineering services (supply of medical equipment, construction of medical and other gas pipelines, LPG installations - tanks and pipelines, industrial gas storage and pipeline installations and related maintenance services).

BOC has a team of highly qualified engineers and technicians who provide Customer Engineering Services (CES) to the highest international standards including the following: Medical Oxygen KS 2170 – 1:2009; Medical Air – KS 2170 – 2008; Medical Nitrous oxide – KS – 2170 -3:2008 and Medical Carbon Dioxide – KS -2170-4:2009

Safety at BOC is non-negotiable. We pay great attention to the safety of operations, products, distribution fleet and our customers.

We conduct rigorous tests on our cylinders before any filling operation to ensure safety of products and users. Medical cylinders are subjected to more stringent tests and cleaning in line with health care standards.

All staff receive regular general safety and role specific training. Employees have access to the web-based Linde Plc Learning Management System (TRACCESS) on which they study and undertake tests on subjects relevant for their respective roles in the Company.

The Company's distribution fleet drivers are continuously trained in vehicle safety, including heavy commercial vehicle anti-rollover training in South Africa.

Completion of core training is mandatory before an employee is allowed to execute particular tasks.

Mission and values

Our ultimate parent Company, Linde plc, has defined and launched a new shared purpose, common direction, and mutual accountabilities in what is referred to as the One Linde Philosophy. We seek to support and live the Philosophy which we consider vital to our individual and corporate success.

ABOUT US (continued)

Mission:
Our mission is to be the best performing medical gases, industrial gases welding products and welding accessories Company in our region, where our people deliver innovative and sustainable solutions for our customers in a connected world.

Vision:
Our vision is making our world more productive

Strategic Direction:
A. Build on our individual and collective strengths across a larger global footprint
B. Profitably and sustainably grow our industrial and medical gases business by increasing network density
C. Leverage world-class engineering and technology capabilities to deliver a competitive advantage to the gases business and profitably grow with third party customers

Values and Behaviours:
- **Safety –** We put safety first. We believe all incidents are preventable, and our goal is no harm to people, communities or the environment. We continuously work to improve our safety culture and performance worldwide.
- **Integrity –** We always strive to achieve our goals ethically, and with the highest integrity. We expect transparent and respectful interactions between management, employees and our business partners, consistent with our Code of Business Integrity.
- **Accountability –** We hold ourselves accountable for our performance, individually and collectively. We focus both on what we accomplish and how we accomplish it, and we are committed to delivering on individual and company goals.
- **Inclusion –** We embrace diversity and inclusion in order to attract, develop and retain the best talent and build high-performing teams. By hearing all voices and benefiting from diverse opinions, thoughts and perspectives, we achieve our full promise and potential; and
- **Community –** We are committed to improving the communities where we live and work. Our charitable contributions, along with employee volunteerism, support initiatives that make important and sustainable contributions to our world.

Strategy
The strategy of the Company is geared towards long-term profitable growth and focuses on the provision of forward-looking products and services that support our customers in their various areas of operations.

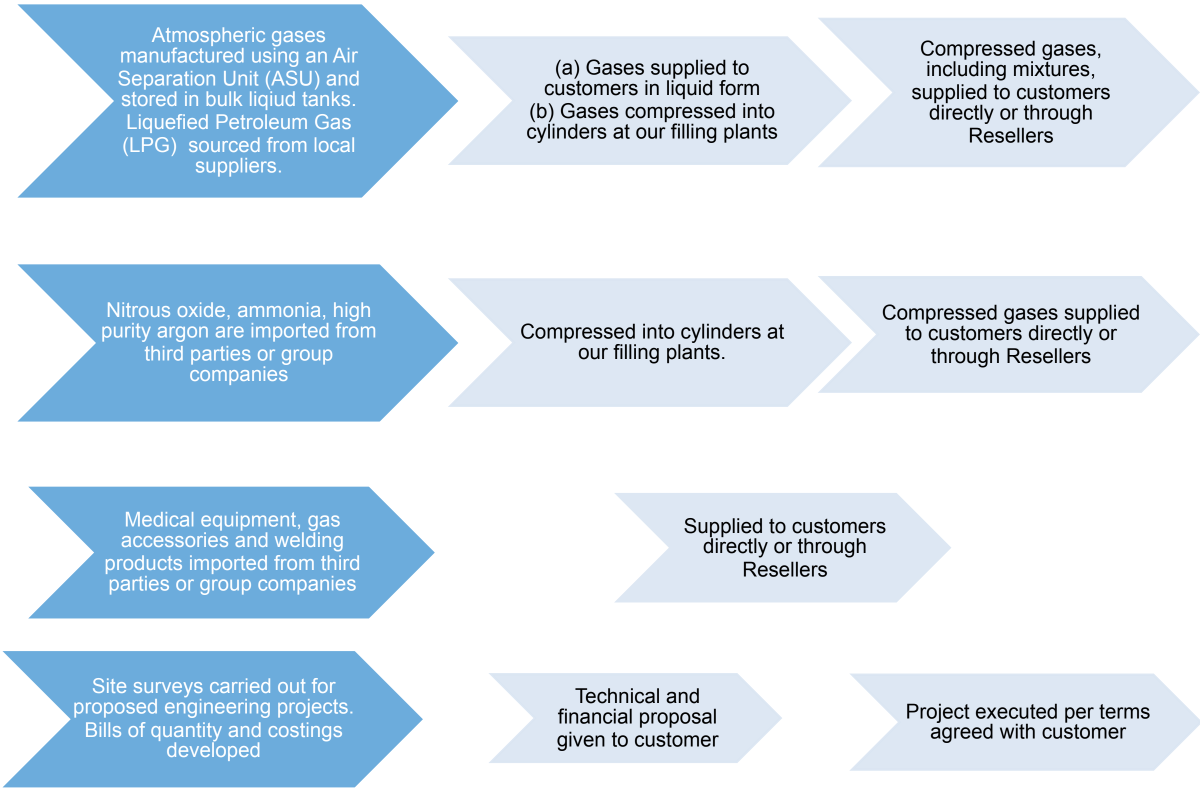
The Company acts responsibly towards its shareholders, business partners, employees, society and the environment in every one of its business areas and locations.

We seek to consolidate and grow the medical gases segment and to maintain and grow the industrial gases segment (especially oxygen and dissolved acetylene) and aim to become the gas supplier of choice in the Kenyan market. We seek to partner with real estate developers for Liquefied Petroleum Gas (Gas) reticulation and to provide innovative solutions to key segments in the agriculture and floriculture sectors and to partner with national referral and county governments to deliver quality medical supplies to public hospitals.

ABOUT US (continued)

Business Model

The Company's business model may be summarised as follows:



CHAIRMAN'S STATEMENT

The Directors are pleased to submit the annual financial statements of BOC Kenya PLC and its subsidiaries for the year ended 31 December 2019. The financial results are discussed in the Managing Director's report.

Business overview

As noted on the Managing Director's report, the Company's turnover for the year ended 31 December 2019 rose slightly over the prior year, arresting a decline that had persisted over several years. Operating profit decreased 6.7%.

Revenue from bulk medical gases rose 79% after the Company was awarded a large public sector hospital tender. However this upside was eroded by inability to supply public sector customers owing to invoices that have remained unpaid for periods significantly above the allowed credit period, decreased volumes of industrial cylinder gas sales due depressed demand (from mostly small and medium enterprises), high local energy costs impacting production costs, illegal filling of the Company's cylinders, a short-term outage of a key raw material and unanticipated plant downtime in the first half of the year all of which impacted availability and cost of product.

The Board is pleased to note that growth continues to be realized in healthcare (liquid medical oxygen and packaged medical gases) and as well as in Customer Engineering services. The Company has over many years been a healthcare partner to many public and private sector hospitals. In this regard we are pleased to report that during 2019 two new County Hospitals contracted us to provide liquid oxygen installations at their premises as they sought to improve healthcare services in their regions in a cost-effective manner. We are excited at the opportunity to work with the Regional Governments to improve access to medical gases to the last mile.

The Board is fully cognisant of the particular challenges facing the industrial gases sector, not least the illegal filling of the Company's cylinders, on which regulatory assistance has, and will continue, to be sought as we also try to stem the practice in partnership with our distributors and resellers.

As discussed on the Managing Director's Report, the Company has established a robust and dynamic risk assessment process in respect of the ongoing COVID-19 in order to minimise the impacts that the pandemic may have on the business in the coming months.

Meanwhile, the Company is committed to maintaining its internal processes which provide assurance to our customers on the quality and integrity of our gas cylinders, cryogenic tanks

CHAIRMAN'S STATEMENT (continued)

and gas reticulation systems and have enabled us to create strong partnerships in the sectors that we serve.

The Board together with management is exploring additional products pipeline and the coming years.

Since being established in 1940, the company has provided gases used in virtually every branch of Industry, Commerce, Science and Research. It is with this experience that we are fully aligned with the Government of Kenya' big 4 Agenda to increase local manufacturing having invested in the only Air Separation Unit (ASU) in East and Central Africa that guarantees purification of gases to the highest standards (up-to 99.95%). We participate in realization of 100% food and nutritional Security with the innovative solutions we offer other food manufactures, support universal healthcare with our portfolio of medical gases and solutions and support the affordable housing ambition by scaling up developer capacity.

Appreciation

Since the last Annual General Meeting (AGM) on 21 June 2019 there has been one change on the Board of Directors. Lucy Njoroge resigned as a Non-Executive Director on 28 February 2020 following determination of her second three (3) year tenure on the Board. She had served on the Board since 1 September 2014.

On behalf of the Board, the Shareholders and members of staff I wish to thank Lucy for her years of service as a Director of the Company. As we bid her good-bye, we acknowledge with gratitude her contributions and insights in the affairs and management of the Company. We also thank her for serving as the Chairperson of the Retirement and Remuneration Committee over many years and wish her Godspeed in the years that lie ahead.

Meanwhile we recognize and acknowledge our employees', distributors and other partners who in different ways contribute to the business and its success. We look forward to developing these partnerships further in the coming years as we seek to be of better service to our customers. Our shareholders can be assured of the Boards commitment to strengthen the business in the coming years.

Robert Mbugua
Chairman

20 April 2020

MANAGING DIRECTOR'S REPORT

A Commitment to One Linde

BOC Kenya Plc's (BOC) ultimate majority shareholder is the Linde Plc.

With the Linde-Praxair merger now completed, Linde is the leading industrial gases and engineering company in the world. To bring the merger to fruition the two Companies overcame many challenges while safely and reliably serving customers and delivering value to all stakeholders.

To now deliver upon the promise of the merger, the companies have come together as One Linde. One Linde seeks to shape a culture that empowers individuals to succeed both individually and collectively, making the most of the diverse talents and complementary skills of some 80,000 employees across more than 100 countries.

Vision and Mission

BOC's Vision is to be the best performing industrial gases and engineering company in our East Africa Region, where our people deliver innovative and sustainable solutions for our customers in a connected world. This vision recognizes that we must always strive for excellence, conduct our business with integrity, grow our capabilities, and use resources responsibly so that we deliver strong performance year-after-year and for generations to come.

In line with One Linde, Our Mission is Making our world more productive. It reflects our commitment to continually increase efficiency in our own operations while enabling our customers to become more successful by improving their financial and environmental performance.

Strategic Direction

Our Strategic Direction provides specific guidance on how we should prioritize our efforts so that we advance on these fronts:

— Leverage on One Linde's world-class engineering and technology capabilities to deliver a competitive advantage to the gases business and profitably grow with customers

— Profitably and sustainably grow our industrial and medical gases business by increasing density

Values

Our Values guide how we conduct ourselves, operate the businesses, make

MANAGING DIRECTOR’S REPORT (continued)

decisions and treat others, every day.

Safety
We put safety first. We believe all incidents are preventable, and our goal is no harm to people, communities or the environment. We continuously work to improve our safety culture and performance worldwide.

Integrity
We always strive to achieve our goals ethically, and with the highest integrity. We expect transparent and respectful interactions between management, employees and our business partners, consistent with our Code of Business Integrity.

Accountability
We hold ourselves accountable for our performance, individually and collectively. We focus both on what we accomplish and how we accomplish it, and we are committed to delivering on individual and company goals.

Since 2018, we have established our culture of Continual Improvement (CI) using various KAIZEN tools. KAIZEN which means change for better has driven the way we manage Projects and the way we treat each other when going through tremendous change.

In 2019, we implemented four new projects around Inventory Management, Planned Maintenance, Autonomous and Total Flow Management project in Customer Service. These projects will continue to impact our operations in a positive manner and will produce sustainable efficiencies and savings.

Inclusion
We embrace diversity and inclusion in order to attract, develop and retain the best talent and build high-performing teams. By hearing all voices and benefiting from diverse opinions, thoughts and perspectives, we achieve our full promise and potential.

Community
We are committed to improving the communities where we live and work. Our charitable contributions, along with employee volunteerism, support initiatives that make important and sustainable contributions to our world.

Our Behaviours set expectations for every employee at every level and location, communicating what it takes to be successful at BOC:

- Live our values – believe in and role model our core values
- Achieve our goals – achieve goals and drive for excellence
- Make an impact – approach people and challenges with a positive attitude

We underline our commitment to sustainable development by supporting the principles set out in the United Nations Global Compact. We have also reviewed our contribution to the UN’s Sustainable Development Goals and have published a summary of this on our website.

Outlook
We are committed to ensuring sustainable improved financial performance of the Company in the coming years. In this regard we have developed a simplified strategy to defend our market position and break into new segments through focused internal alignment. We will achieve this through protecting our base business, creating new business streams, turning around our customer service operations and strengthening execution with our talented people.

Actions have been and are being taken to mitigate against external factors that bear on the Company’s results concurrently with effort`s to ensure that, internally, all employees are demonstrating our behaviours of living our values, achieving our set goals and making an impact.

MANAGING DIRECTOR'S REPORT (continued)

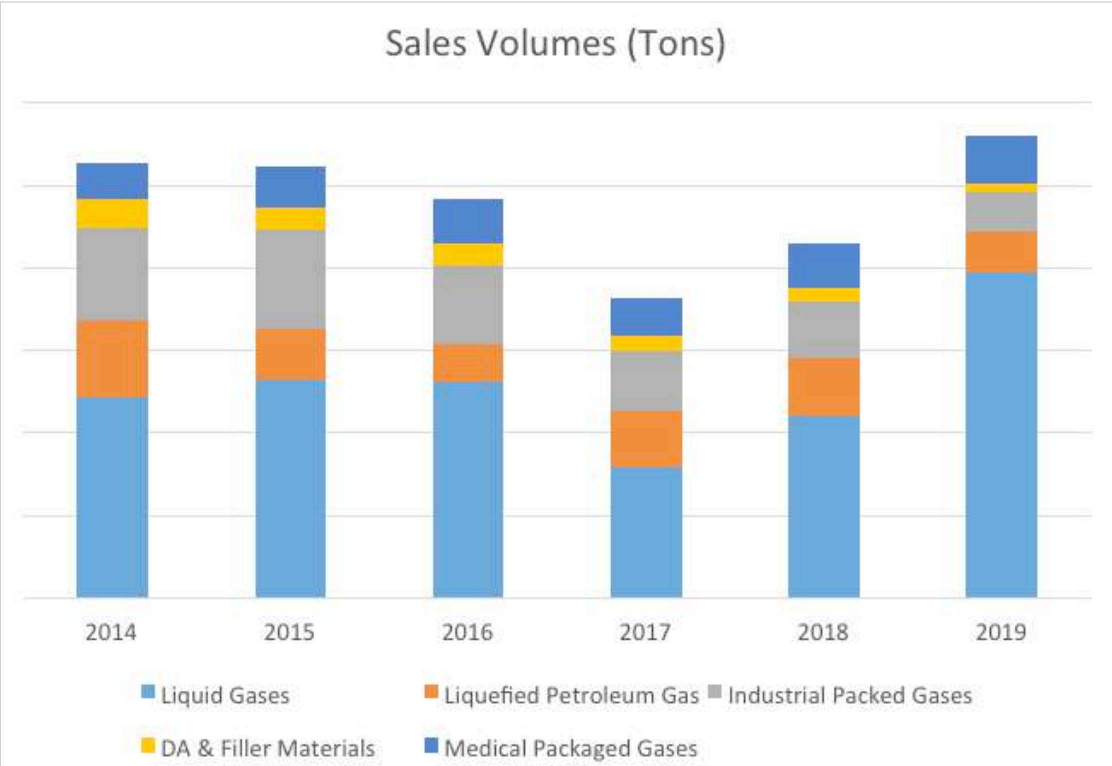
We expect the year 2020 to be impacted by COVID – 19. The Company has established a robust and dynamic risk assessment process that is responding with countermeasures for colleagues interfacing with Healthcare, business interruption, exports, imports and the corresponding financial risks including legal requirements.

The Company is fully committed to supporting the mitigation directives and counsel being offered by the Government. The company has enhanced its capabilities to ensure that the increased need for medical gases, medical gas infrastructure and accessories during this difficult time are met.

We have shown growth in volume in 2019 with focus on the right channels and we are geared to continue with the trajectory over the next few years along Kenya's Big 4 Agenda and the oil and gas upstream opportunities that are developing in our Region. We recognise the legislative bodies that continue to lead and support our ambitions and look forward to winning partnerships for the benefit of all our stakeholders.

Key performance indicators

The table below shows the Company's sales volumes in Kilograms from 2014 to 2019.



MANAGING DIRECTOR'S REPORT (continued)

The Company's core products remain Oxygen, Nitrogen and Dissolved Acetylene (DA). Oxygen and nitrogen are sold either in liquid form or are packaged into cylinders. Gas sales in liquid form comprise medical oxygen sold to hospitals that have installed medical pipelines in their wards and other patient care areas, oxygen and nitrogen to industrial customers. Filler materials constitute welding products.

Various financial key performance indicators are presented in the table below.

	2015	2016	2017	2018	2019
Revenue	1,186,420	1,076,719	967,626	966,543	975,863
Gross profit	49.2%	51.5%	53.7%	49.7%	45.7%
Distribution costs	101,093	102,617	111,841	110,693	95,268
Selling & Admin costs	325,199	319,428	348,864	305,987	295,954
Operating profit	160,175	132,368	29,677	49,315	45,963
Operating profit/sales	13.5%	12.3%	3.1%	5.1%	4.7%

Quick assets2	710,661	689,587	721,758	667,388	497,436
Quick ratio	1.2	1.3	1.2	1.1	0.9
Liquidity ratio	2.1	2.3	2.0	1.9	1.9
Debt to Equity Ratio	0.35	0.24	0.38	0.41	0.37
Long term debt	Nil	Nil	Nil	Nil	Nil

Dividends	101,532	101,532	101,532	101,532	45,885
Dividend per share (KShs)	5.20	5.20	5.20	5.20	2.35
Capital expenditure	110,032	85,017	110,539	73,503	83,500
Return on total assets	6.4%	5.7%	1.4%	2.3%	2.3%

1. *All figures in Kenya shilling thousands (KShs 000) unless indicated otherwise*
2. *Quick assets comprise bank balances, term deposits and treasury bills. Trade debt is excluded.*

The decline in revenue that the Company has suffered over the last five years reversed in 2019 with revenue rising revenue by 1%. However, the gross margin and operating profit ratio decreased from prior year due to a competitive environment especially in the industrial cylinder gases market which makes it difficult to recover cost increases through higher pricing to customers.

Late payments by public sector customers during 2019 remained a bottleneck that impact the Company's revenue adversely when supplies to such customers are withheld as a mitigation for credit risk.

The Company continues to have a cash healthy position with quick assets (cash and cash equivalents, bank deposits and investments in treasury bills) of KShs 497 Million. Current assets have remained more than or nearly twice current liabilities.

The Company declared and paid dividends amounting to KShs 452 Million in respect of the five financial years from 2015 to 2019.

MANAGING DIRECTOR'S REPORT (continued)

Appreciation

Finally I wish to thank our customers for their continuing custom and trust in our products and services, our employees for their individual and collective contribution to the business over the years, members of the Board of Directors for their invaluable guidance and our shareholders who have placed their investment in our hands. We will continue to strive towards greater achievements in 2020 and in the coming years.

Marion Mwangi
Managing Director

20 April 2020

SUSTAINABILITY REVIEW FOR 2019

Introduction

BOC aligns its activities with the economic, social and environmental impact on all its stakeholders. Economic impact includes the profit generated by the company as well as the economic benefit enjoyed by the society as a consequence of BOC's activities. The social impact means the business adopts fair business practices and considers the well-being of all stakeholders in its operations. Environmental impact for BOC means adopting sustainable environmental practices to reduce BOC's ecological footprint, manage consumption of resources and manage waste.

The commitment to Sustainability by BOC encourages change towards a sustainable economy that promotes economic as well as environmental and social responsibility to all stakeholders. It also helps the organization to set goals and measure performance on more than just the financial parameters.

In the year 2019, BOC began the journey of integrating the Sustainable Development Goals (SDGs) into its overall company strategy. This process was undertaken to ensure a streamlined approach to BOC's Sustainability strategy and to offer local support to a global agenda to change the world and address pressing social and environmental concerns around the world.

The alignment to the SDGs was broken down into the below processes:

— Leadership and Management onboarding
— Stakeholder Engagement
— Promoting the Sustainability Strategy
— Improving processes
— Strategic Alignment of Sustainability

Leadership and management on boarding

The buy-in of leadership and management is essential in any change that an organization hopes to adopt and essentially in ensuring the success of the change. The Board of Directors was familiarized with Sustainability and the benefits of integrating it with the business strategy by the Managing Director in July 2019. The business case for the adoption of the SDGs and the need for an overhaul of BOC's Sustainability Strategy was discussed at length and the go ahead was given.

The senior management was inducted on Sustainability and the SDGs as well. Through a one-day training in July, the management was taken through the following modules:

— Introduction to Sustainability – Definitions and Business Relevance
— Understanding the SDGs – Business Application
— Identifying SDGs relevant to the organization
— Measuring impact on SDGs implementation

The involvement of the Board and senior management served great goal in creating a sense of urgency in the adoption of the SDGs and in having BOC set an example in the Oil and Gas industry in Kenya and the region.

In the coming year, there will be quarterly updates to the Board on Sustainability, sensitization of other staff on the SDGs and BOC's Sustainability Strategy, identification of Sustainability champions among employees and continuous communication to employees on Sustainability efforts achieved.

SUSTAINABILITY REVIEW FOR 2019 (continued)

Stakeholder engagement

Stakeholders are entities or individuals that can reasonably be affected or affect the operations of an organization. They are the individuals and entities that BOC has a responsibility to serve and to consider in the decisions that it makes.

In the preparation to adopt the SDGs and align them to the business strategy, there was need to identify the key stakeholders and identify their key interests. The process of identifying key stakeholders otherwise known as Stakeholder Mapping was guided by the below factors:

— Level of BOC's responsibility to stakeholder
— Level of stakeholder influence on BOC's operations
— BOC's dependency on the stakeholder

Stakeholder mapping yielded the below stakeholders as key to the success of BOC's Sustainability Strategy:

1. Our employees and their families
2. Our customers
3. Our regulators (including Industry Associations)
4. Our partner suppliers
5. Our customers
6. Our community
7. The environment
8. Shareholders
9. Board members
10. Our competitors
11. Media
12. The general public

With stakeholder mapping done, BOC is able to prioritize which stakeholders to consult on a regular basis. This engagement is paramount in giving different perspectives on BOC's impacts, identifying problems, understanding external impression created by BOC and sharing knowledge on industry insights.

Promoting the sustainability strategy

With the Sustainability Strategy so approved by the Board, there was need to promote the strategy to ensure that the Strategy is well understood, and the staff are well aware of what is expected of them. This was carried out in phases as below:

— A Town Hall to brief employees on the Strategy was held in August of 2019. The MD detailed the role of Sustainability in the business and the need for adopting the SDGs in BOC's Strategy.
— Employees were trained on Sustainability and the SDGs in July of 2019. Similar sessions will be held with the remaining staff in the coming year.
— Promotional items with details on the SDGs were shared with the employees that were trained. In 2020, there will be committed branding to further communicate on the SDGs and the BOC targets for Sustainability.
— In 2020, Sustainability Champions will be identified and empowered to provide ongoing support to teams and offer much needed enthusiasm to all the teams.

Improving processes

This involved a review of the company's processes and procedures and necessitated the need for standards of excellence. First was a review of the Corporate Social Responsibility Policy to suit BOC's commitment to deliver on economic, environmental and social impact for all stakeholders. The review reiterates the need for:

— A Lead manager with the responsibility of the planning, implementation and evaluation of Sustainability
— A budgetary policy for Sustainability initiatives

SUSTAINABILITY REVIEW FOR 2019 (continued)

— Preparation of annual Sustainability Reports
— Mechanisms for compliance, monitoring and review of Sustainability procedures

In 2020, BOC will commit to documented stakeholder engagement in order to identify material aspects of Sustainability and this will aid in the identification of Sustainability Targets and establish measurement, tracking and communication procedures.

Strategic alignment of sustainability

After conclusive consultation with Senior management, as well as an analysis of the organization's economic, environmental and social impacts, BOC will be committed to working on the below SDGs:

2019 SDGs contribution by goal

Contributions made to the 28th Annual Charity Golf Tournament organized by Gertrude's Children's Hospital of KShs. 200,000 to help children ¬with cancer. The tournament was held at Muthaiga Golf Club.

KShs. 200,000 to The Nairobi Hospital Charity Heart Fund, a program that was founded in 1993 to reach out to needy Kenyan children who were born with congenital heart defects.

BOC trained 25 Bio-medical engineers from the Kenyatta National Hospital on safety when receiving and handling oxygen cylinders as well as accurate conversion rates for patient prescriptions.

SUSTAINABILITY REVIEW FOR 2019 (continued)

In 2019, the BOC management team was joined by Achieng Opiyo, who is the Supply Chain and Distribution Manager. This brings the percentage of women in Senior Management to 43% up from 33% in 2018.

Support of Women Leaders in Manufacturing under the Kenya Association of Manufacturers through training on KAIZEN and Lean Implementation Strategies speci¬fically 6S, KANBAN, AM Step 1 and TFM. BOC Kenya has made good progress in understanding the Lean way and begun to see the results.

The BOC plant relies on underground water provided by a borehole. This reduces BOC's reliance on water provided by the County Government of Nairobi.

From 28th to 31st October 2019, BOC participated in the Kenya Sanitation Conference held at KICC.

Safe reuse of wastewater generated from the production of dissolved acetylene.

Training support given to 450 welders running micro enterprises across the country in Kamukunji, Machakos, Thika, Nakuru and Manara on right welding equipment and procedures as well as safety when welding.

In collaboration with the Technical and Vocational Education and Training Authority (TVETA) and the Kenya Universities and Colleges Central Placement Service (KUCCPS), BOC hosted 28 lecturers and administrators drawn from various polytechnics across the country to train them on BOC's products, correct electrodes for welding and practical application of classroom theory.

Resale of 871,560 kg in 2019 of Carbide sludge generated in the acetylene production to a National Environment Management Authority (NEMA) approved contractor. The sludge by-product is made of Calcium Hydroxide and is repurposed as a raw material in construction mainly in plastering of walls.

Staff participation in Tumaini Day clean-up of Kitui Road in October 2019. The County Government of Nairobi was represented by Job Wainaina. The County Government has worked closely with private sector to push for greening the County. He affirmed that the County will come in and offer garbage collection and disposal services.

In partnership with the Clinton Health Access Initiative, BOC installed a Vacuum Insulated Evaporator (VIE) Tank valued at KShs. 7,500,000.00 to store bulk liquid oxygen for medical applications by the Baringo County Referral Hospital.

SUSTAINABILITY REVIEW FOR 2019 (continued)

Looking onward to 2020

With 2019, marking the initial steps in the integration of the SDGs to BOC's strategy, a great deal of groundwork needed to be done. This was especially true with respect to understanding BOC's past involvement in Sustainability, the ¬rm's current position and what its future engagement in Sustainability should look like. In the coming year 2020, BOC will be furthering the cause of Sustainability by streamlining processes for strategic bene¬fits.

Specifically, BOC will strive to:

— Train all employees, suppliers and customers on the SDGs, Sustainability and its contribution to BOC's success and their role in realizing their achievement. An entertaining Quiz Night themed on the SDGs will be held to keep employees motivated and to reward teams that are well versed with the SDGs.
— Identify Sustainability champions among staff.
— Update the current Corporate Responsibility Policy, present it to the Board for approval and communicate the new Policy with employees and other stakeholders.
— Brand BOC to remind employees of the need to achieve the SDGs
— Document stakeholder engagement in order to identify material aspects of Sustainability and this will aid in the identification of Sustainability Targets and establish measurement, tracking and communication procedures.
— Identify Sustainability targets for the organization, speci¬fic departments and individual staff and establish measurement, tracking and communication procedures.
— Initiate the adoption of renewable sources of energy in the production process
— Review the procurement processes especially the supplier database to encourage sourcing of products from Persons with Disabilities, social enterprises as well as women and youth led MSMEs.

BOARD OF DIRECTORS

DIRECTORS' PROFILES

BOC understands the importance of having a Board containing the right balance of skills, experience and diversity and the composition of the Board is regularly reviewed by the Board Nominations and Corporate Governance Committee. The skills and experience of the current Directors and the value they bring to the BOC Board is described below.

Mr. Robert N. Mbugua (age 52)

Independent Non-Executive Chairman
Kenyan

Position: Chairman since June 2018; Non-Executive Director since May 2012 and Chairman of the Nominations and Corporate Governance Committee.

Skills and experience: Mr. Mbugua is the Co-Founder and Chief Executive of Fleet Africa (EA) Ltd. This is the East Africa subsidiary of JSE Listed Super Group. He has a rich accounting background having spent 14 years with PricewaterhouseCoopers both in Kenya and in South Africa where he was admitted as a Partner. He left PricewaterhouseCoopers South Africa and joined Standard Bank South Africa for 8 years. During his tenure with Standard Bank South Africa he held various Senior roles including Regional Managing Director with responsibility for its operations in a number of African countries. He is a Certified Public Accountant and holder of a Master of Business Administration degree from Bond University (Australia/South Africa).

Key Appointments: He holds directorships in Fleet Africa (EA) Ltd, UAP Holdings Limited and Old Mutual Holdings Limited.

Mrs. Marion Gathoga-Mwangi (age 48)

Managing Director
Kenyan

Position: Appointed as Managing Director in July 2018.

Skills and experience: Ms. Gathoga-Mwangi is an accomplished Senior Executive with over 20 years of local and international experience in Commercial and General Management predominantly in the manufacturing sector. She returned to Kenya in 2017 after a successful tour of duty with Groupe Lactalis – Parmalat Botswana (Pty) where she served as Country Head. Other key roles that Ms. Gathoga-Mwangi has previously held include Country Director of Cadbury Kenya and East Africa Limited and General Manager at Unga Limited (Sea board Corporation). Ms. Gathoga-Mwangi also had a long and distinguished career with Bayer East Africa. She joined BOC from the Association of Certified Chartered Accountants (ACCA) where she held the position of Head of ACCA.
Ms. Gathoga-Mwangi holds a Bachelor of Science (Honours) Degree in International Business Administration from the United States International University (USIU) Kenya. She is an associate member of Women Corporate Directors, Kenya Chapter.

Key Appointments: Marion does not hold any other directorships.

BOARD OF DIRECTORS (continued)

Mr. Arthur. Kamau (age 54)
Finance Director
Kenyan

Position: Appointed Finance Director in December 2010.

Skills and experience: Mr. Kamau has extensive experience in financial management and served in various senior management roles over the last eleven years in the manufacturing industry including Finance Director for Diversey Eastern and Central Africa Limited. Arthur is a graduate of Economics and Business Studies from the Kenyatta University. He trained as an accountant with KPMG Kenya.

Key Appointments: Mr. Kamau does not hold any other directorships. He is a member of the Instituted of Certified Public Accountants of Kenya.

Mr. Marius Kruger (age 50)
Non-Executive Director
South African

Position: Appointed to the Board in August 2013. He is a Member of the Audit & Risk Committee and the Nominations and Corporate Governance Committee.

Skills and experience: Mr. Kruger is based at African Oxygen Limited, BOC's sister Company in South Africa, and is the Senior Director responsible for Emerging Africa. He brings to the Board a wealth of experience gained over thirty years in general management, financial audits and advisory services, business planning, financial and management reporting, strategy formulation, implementation and reviews. He holds a post graduate degree in Finance. He is an associate member of the Chartered Institute of Management Accountants in the United Kingdom.

Key Appointments: Mr. Kruger holds directorships in BOC Zimbabwe Limited, Afrox Mozambique Lda and Les Gaz Industriels Limited in Mauritius.

Mrs. Cosima Wetende (age 45)
Independent Non-Executive Director
Kenyan

Position: Appointed to the Board in March 2016. She is a Member of the Audit Committee, the Retirement and Remunerations Committee and the Nominations and Corporate Governance Committee.

Skills and experience: Mrs. Wetende is an Advocate of the High Court of Kenya of 17 years standing and is currently a Partner in the firm of Kaplan & Stratton Advocates. She practices mainly in areas relating to civil and commercial litigation, arbitration and mediation.
She holds Bachelor of Laws and Master of Law degrees from the University of Nairobi in addition to a Bachelor of Arts (Hons) Degree in Social Sciences. She is a Member of the Law Society of Kenya, the International Bar Association and a Fellow of the Chartered Institute of Arbitrators (Kenya Branch).

Key Appointments: Mrs. Wetende does not hold any other directorships.

BOARD OF DIRECTORS (continued)

Mr. Stephen Maina (50)
Independent Non-Executive Director
Kenyan

Position: Appointed to the Board in June 2018. He is the Chairman of the Audit and Risk Committee.

Skills and experience: Mr. Maina is currently the Finance Director of Haco Industries Limited. Prior to this, he was the Managing Director and Principal Officer of AfroCentric Health Solutions Limited which provides health care and health insurance related consultancy services from 2015 to 2017.Between 2000 and 2013 he served in various Executive roles within the AAR Group including as Finance Director, MD Kenya Business and Group Head of Strategy. Mr. Maina is a Certified Public Accountant and in addition holds a Bachelor of Commerce (Accounting) Degree from the University of Nairobi and an MBA from United States International University (USIU).

Key Appointments: Mr. Maina does not hold any other directorships. He is a member of the Instituted of Certified Public Accountants of Kenya.

Mr. Ruben Chetty (42)
Non-Executive Director
South African

Position: Appointed to the Board in December 2018. He is a Member of the Retirement and Remunerations Committee.

Skills and experience: Mr. Chetty currently holds the position of Commercial and Business Development Manager for African Oxygen Limited's (Afrox) Emerging Africa Division. He joined Afrox in 2007 and has held various senior roles in the areas of sales and marketing. Prior to joining Afrox, he held a senior management position in Huhtamaki, a multinational packaging organization.

His extensive experience in the industrial gases market and his strategic and commercial insights will be of immense value to the Board of BOC.

Mr. Chetty holds an MBA from the University of Witwatersrand, a Bachelor of Accounting Science degree from the University of South Africa and a National Diploma in Chemical Engineering from the Durban University of Technology.

Key Appointments: Mr. Chetty does not hold any other directorships.

Mrs. Lucy Njoroge (age 53)
Independent Non-Executive Director
Kenyan

Position: Appointed to the Board in September 2014. She is the Chairman of the Retirement and Remunerations Committee and a Member of the Audit Committee.

Mrs. Njoroge tendered her resignation from the Board effective 28 February 2020. Her resignation as a Non-Executive Director followed determination of her second three (3) year tenure on the Board. The Chairman and the Board thank Mrs. Njoroge for her commitment and invaluable contributions and wish her well in her future endeavours.

BOARD OF DIRECTORS (continued)

Ms. R. T. Ngobi (age 59)
Company Secretary
Kenyan

Position: Company Secretary since August 2014.

Skills and experience: Ms. Ngobi was educated in both Kenya and the UK. She holds a Batchelor of Laws Degree from the University of Kent, a Master of Laws Degree from the University of Cambridge and is a Certified Public Secretary and an accredited Governance Auditor. She is also an Advocate of the High Court of Kenya of 35 years standing with 24 years' experience as in-house Legal Counsel and Company Secretary of large global corporations with offices and agencies throughout Sub-Saharan Africa such as Unilever Kenya Limited and British American Tobacco Kenya Limited. In 2010 she founded Cosec Solutions Limited which provides company secretarial services and corporate governance solutions to various companies.

Key Appointments: : She is a Non-Executive Director on the Boards of Stanbic Bank Limited, Stanbic Holdings Limited and SBG Securities Limited.

BOARD OF DIRECTORS (continued)

DIVERSITY OF SKILLS, QUALIFICATIONS AND EXPERIENCE

The Board as currently constituted offers a diverse range of skills and experience in relevant areas.

Skills and Competences for BOC Board	Mbugua	Mwangi	Maina	Kruger	Wetende	Kamau	Chetty
Gas Industry Knowledge		✓		✓		✓	✓
Listed Company Board Experience	✓	✓	✓	✓	✓	✓	✓
Governance Leadership/ Corporate Management	✓	✓	✓	✓	✓	✓	✓
Trade Block Experience	✓	✓		✓		✓	✓
Audit/Finance	✓		✓	✓		✓	✓
Risk Management	✓	✓	✓	✓	✓	✓	✓
Local Regulation/Public Policy/Govt. relations	✓	✓	✓		✓	✓	
Legal					✓		
Marketing/ Sales/ Distribution		✓					✓
People/Organizational Development/ Remuneration	✓	✓	✓	✓	✓	✓	✓
Information Technology			✓				
Manufacturing Industry experience		✓	✓	✓		✓	✓
Gender Diversity		✓			✓		

BOARD MEMBERSHIP CRITERIA, REFRESHMENT AND SUCCESSION PLANNING

The selection of qualified Directors is fundamental to the Board's successful oversight of BOC's strategy and enterprise risks. As a result, ensuring that the Board is composed of Directors who bring diverse viewpoints and perspectives, exhibit a variety of skills, professional experiences and backgrounds, and effectively represent the long-term interests of shareholders is critical to the Board and the Nominations and Corporate Governance Committee.

The priorities for recruiting new Directors are continually evolving based on the Company's strategic needs and the skills composition of the Board at any particular time. These dynamic priorities ensure the Board remains a strategic asset capable of addressing the risks, trends, and opportunities that BOC will face in the future. In evaluating potential Director candidates, the Nominations and Corporate Governance Committee considers, among other factors, the criteria shown above in the skills and qualifications matrix for current Directors and any additional characteristics that it believes one or more Directors should possess based on an assessment of the needs of the Board at that time.

In every case, Director candidates must be able to contribute significantly to Board discussion and decision-making on the broad array of complex issues facing BOC.

BOARD OF DIRECTORS (continued)

BOARD DIVERSITY

The Nominations and Corporate Governance Committee considers individuals with a broad range of business experience and varied backgrounds and strives to identify candidates with diverse backgrounds in line with the BOC Board Diversity Policy and the Policy on Appointments to the Board. The Committee and Board recognise the value of overall diversity and considers members' and candidates' opinions, perspectives, personal and professional experiences, and backgrounds, including gender, race, age and country of origin. The Board believes that the judgement and perspectives offered by a diverse Board of Directors improves the quality of decision making and enhances the Company's business performance. The Board believes that such diversity assists the Board to respond more effectively to the needs of customers, shareholders, employees, suppliers, and other stakeholders.

The BOC Board Diversity Policy and the Policy on Appointments to the Board are posted on the Company's website www.boc.co.ke

MANAGEMENT TEAM

The Company's Management team comprises the Managing Director and the Finance Director (see page 17) together with:

James Njoroge
Operations Manager and Acting SHEQ Manager

James is in charge of the Company's production and cylinder filling facilities as well as other physical infrastructure. Key production facilities comprise the Air Separation Unit (ASU), Dissolved Acetylene Plant and the LPG Filling Plant.
Having joined the business in 1994 immediately after graduating from the University of Nairobi with a Mechanical Engineering degree, James has gained invaluable experience on BOC's and Linde Plc processes and standards, all of which are built on a bedrock of safety.

Sarah Onyoni
Human Resource Manager

Sarah joined the company in November 2008. She has extensive experience gained in the health care and manufacturing sectors She is responsible for talent acquisition and retention management, compensation and benefits, communicating and enforcing company values, promoting process improvement, talent development, succession planning and management of change.
Prior to joining the Company she worked in the same/similar roles at the International Livestock Research Institute, Aga Khan University Hospital and Unga Group. She has Bachelors' degree in Economics and a Masters' degree in Personnel Management. She is an Alumni of Symbiosis Institute of Business Management and is a Member of the Institute of Human Resources Management.

John Kamau
Sales Manager-Healthcare

John is in charge of healthcare sales and Customer Engineering Services projects.
He joined the Company in August 2012 as Regional Engineer in charge of customer Engineering Services Department.

He is also in charge of the Customer Engineering Service (CES) Department, which works closely with the Sales and Marketing Department to deliver engineering projects to customers. These include the installation of cryogenic gas tanks, onsite gas generators and construction of medical gases and liquefied petroleum gas pipelines.

A graduate of Jomo Kenyatta University of Agriculture and Technology has an expansive experience in Mechanical Engineering, Manufacturing, project design and management. He brings a wealth of technical experience required to drive and grow the healthcare sector of the business.

MANAGEMENT TEAM (continued)

Shevalyne Opiyo
Supply Chain and Distribution Manager

Shevalyne is in charge of Supply Chain and Distribution. She joined the Company in August 2019.

She has over 13 years' experience in Supply Chain Management in Manufacturing sectors. She holds a Bachelor of Arts degree in Economics and Business Studies from Kenyatta University, A Masters of Business & Administration Degree in Procurement and Supply Chain Management from University of Nairobi and Currently Studying for a PHD in Supply Chain Management in JKUAT.

DIRECTORS' REPORT

The Directors submit their report together with the audited financial statements for the year ended 31 December 2019 in accordance with the Kenyan Companies Act, 2015, which disclose the state of affairs of BOC Kenya PLC (the 'Company') and its subsidiaries (together the 'Group').

1 Principal activities

The principal activity of the Group is the manufacture and sale of industrial gases, medical gases and welding products.

2 Results and Dividend

The net profit for the year of KShs 55,901,000 (2018 – KShs 65,577,0000) has been added to retained earnings. During the year an interim dividend of KShs 2.35 per share (2018: KShs 2.20 per share) was paid. The Directors do not recommend the payment a final dividend.

The total dividend for the year is therefore KShs 2.35 per share (2018 – KES 5.20) amounting to a total of KShs 45,884,798 (2018 – KShs 101,532,320).

3 Board of Directors

The Directors who held office during the year and to the date of this report are set out on page 17. Mrs. L. Njoroge resigned as a Non-Executive Director effective 28 February 2020.

In accordance with Article 29 of the Articles of Association, Mr. A. Kamau, Mr. M. Kruger and Mr. S. Maina retire by rotation, and being eligible, offer themselves for re-election. Pursuant to guidance offered by the Capital Markets Authority vide Circular No. CMA/MRT/004/2020, Mr. A. Kamau, Mr. M. Kruger and Mr. S. Maina shall continue serving as Directors subject to ratification by Shareholders at the next Annual General Meeting of the Company when convened.

4 Business overview and outlook

The decline in revenue that the Company has suffered over the last five years reversed in 2019 with revenue rising revenue by 1%. However, the gross margin and operating profit ratio decreased from prior year due to a competitive environment especially in the industrial cylinder gases market which makes it difficult to recover cost increases through higher pricing to customers. In this regard the Company continues to institute cost-containment measures and to ensure process efficiencies are secured wherever possible.

Late payments by public sector customers have remained a hindrance that impacts the Company's revenue adversely when supplies to such customers are withheld as a mitigation for credit risk. Efforts remain in place to work with these customers.

5 Auditor

The Board has sought and received proposals from various accountancy firms for the provision of external audit services to the Company commencing the financial year 2020. These proposals are being evaluated, with the Board expecting to make a recommendation for external auditor appointment at the Annual General Meeting.

DIRECTORS' REPORT (continued)

6 Relevant Audit Information

The Directors in office at the date of this report confirm that:

— There is no relevant audit information of which the Company's auditor is unaware; and,
— Each Director has taken all the steps that he or she ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

7 Approval of the Financial Statements

The financial statements set out on pages 54 to 110 were approved and authorised for issue by the Directors on 20 April 2020.

By order of the Board

R.T. Ngobi (Ms.)
Company Secretary
Date: 20 April 2020

GOVERNANCE REPORT

LEADERSHIP AND RESPONSIBILITIES

Overview

BOC Kenya PLC (BOC) is committed to the highest standards of corporate governance and has instituted systems to ensure that high standards of corporate governance are maintained at all levels of the organization. Throughout the year ended 31 December 2019 and to the date of this Annual Report, the Company endeavored to comply with the Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the CMA Code). The Company however believes that the most potent form of corporate governance comes from within, with external guides and codes being overlays to the standards that we, as a Group, set ourselves. Those standards are codified in our own Code of Business Integrity (formerly referred to as Code of Ethics) which every company within the Linde Plc and every employee is expected to live up to.

The Role of the Board

The Board, during the course of 2019 was comprised of six (6) Non-Executive Directors including the Chairman and two (2) Executive Directors. Its' principal duty is to create and deliver sustainable shareholder value through setting the Company's strategy and overseeing its implementation. In so doing, due regard is paid to matters that will affect the future of BOC, such as the effect the Board's decisions may have on employees, the environment, surrounding communities and relationships with customers and suppliers.
The Board ensures that Management achieves the right balance between promoting long-term growth and delivering short-term objectives. The existing corporate governance framework embeds the right culture, values and behaviours throughout BOC and supports the Board's role in determining strategic objectives and policies.

In addition to setting strategy and overseeing its implementation, the Board is also responsible for ensuring that Management maintains an effective system of internal control that provides assurance of effective and efficient operations, internal financial controls and compliance with laws and regulations.

The key responsibilities of the Board include:

— To provide overall strategic direction and major corporate actions to be taken by the Company;
— Approval and adoption of the strategic and annual business plans, the setting of objectives and review of key risk and performance areas;
— Approval of commitments outside the authority delegated to the executive management, committees and individual directors;
— To review, at regular Board meetings, Management's performance against annual business plans and set objectives;
— To review periodic financial reports and approve the Annual Report;
— Declaring an interim dividend and recommending final dividends;
— Reviewing risk management, internal controls and business continuity plans;
— Reviewing the going concern ability of the Company;
— To establish appropriate systems of corporate governance in the Company;
— Establishing and monitoring compliance with the CMA Code, Company's Code of Business Integrity, other Group Policies, programs and procedures for safety, health and environment and laws and regulations; and
— Reviewing and agreeing Board succession plans and those of Senior Management Staff.

Board Governance framework

The Board has developed a Board Charter in order to document its corporate governance practices and principles, in recognition of the role of good governance in corporate performance, maximisation of shareholder value and protection of investors' rights, and also to promote the Company's standards of self-regulation. The objective of the Charter is to also ensure that all Board members are aware of their duties and responsibilities and that they act in the best interest of the Company and its stakeholders. The Board Charter was last reviewed by the Board on 26 March 2020 and is published on the Company's website (www.boc.co.ke).

GOVERNANCE REPORT (continued)

LEADERSHIP AND RESPONSIBILITIES (continued)

The Board has established three principal Board Committees namely, the Audit and Risk Committee, the Nominations and Corporate Governance Committee, and the Retirement and Remunerations Committee. Under the authority of the Company's Articles of Association, each Board Committee has specific responsibilities delegated to it by the Board. Each Committee has its own terms of reference which are reviewed annually and updated as appropriate. The roles, membership and activities of these Committees are described in more detail later in this Report.

Responsibility for implementing strategy and day-to-day operations has been delegated by the Board to the Managing Director and her Executive team.

Division of Responsibilities

The roles and responsibilities of the Chairman and the Managing Director are separate with each having clearly defined duties and responsibilities.

The Chairman is responsible for leadership of the Board, for ensuring its effectiveness and for facilitating the productive contribution of both Executive and Non-Executive Directors. He sets the agenda for Board meetings in consultation with the Managing Director and the Company Secretary. He is also responsible for ensuring that the interests of the Company's shareholders are safeguarded and that there is effective communication with them. The Chairman is accountable to the Board for leading the direction of the Company's corporate and financial strategy and for overall supervision of the policies governing the conduct of the business.

The Managing Director is responsible for the day-to-day management of the Company and is also responsible for the performance of the Group and is supported in this role by the Executive team. She provides leadership to enable successful planning and execution of the objectives and strategies agreed by the Board. She is also responsible for stewardship of the Company's assets and, jointly with the Chairman, for representation of the Company externally.

Non-Executive Directors

The Board had six (6) Non-Executive Directors as at 31 December 2019 and five (5) Non-Executive Directors as at the date of this Report following the resignation of Mrs. L. Njoroge on 28 February 2020. The role of the Non-Executive Director is to help develop strategy, review management proposals, and scrutinize performance of Management, to bring an external perspective to the Board, monitor reporting of performance and to be available to meet with shareholders and key stakeholders as appropriate.

The Board of Directors and Company Secretary pose for a photo alongside Mr. J. Odundo and Mr. Paul Mwai during commemoration of the Company's 50 years of listing on the NSE.

GOVERNANCE REPORT (continued)

LEADERSHIP AND RESPONSIBILITIES (continued)

The Executive Team

The Executive team, led by the Managing Director, is responsible for overseeing the implementation of the strategy and policies set by the Board, and for creating the framework for their successful day-to-day operation. Their profiles are set out on page 17 of this Annual Report.

Principle Executive Team roles includes:

- Developing strategy for approval by the Board;
- Developing guidelines for the Company's functions;
- Ensuring functional strategies are effective and aligned;
- Managing functions;
- Reviewing functional budgets;
- Monitoring Company operating performance; and
- Overseeing the management and development of talent.

BOARD EFFECTIVENESS

Overview of the Board

Composition of the Board of Directors

In line with the requirements of the CMA Code a majority of the Board are Non-Executive Directors with Independent Non-Executive Directors making up almost half of the total number of Directors.

The Board currently comprises the Chairman, who is a Non-Executive Director, two (2) Executive Directors, and four (4) Non-Executive Directors. As at the date of this Annual Report the composition of the Board is as set out on pages 17 to 21.

The Board Nominations and Corporate Governance Committee also considers Board succession planning and regularly reviews the composition of the Board and the Board Committees to ensure that there is an appropriate balance and diversity of skills, experience, independence and knowledge. The size of the Board is not fixed and may be revised from time to time to reflect the changing needs of the business.

The Directors biographies containing their relevant skills and experience, Board Committee membership and other principal appointments can be found on pages 17 to 21. The service contracts for the Executive Directors and the letters of appointment for the Chairman and Non-Executive Directors are available for inspection, upon Notice, at the Company's registered office.

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Independence of Directors

The Independence of the Non-Executive Directors is considered annually by the Board Nominations and Corporate Governance Committee (NCG Committee) using the independence criteria set out in the Code. In 2019 the NCG Committee assessed and confirmed to the Board the independence of Board Directors as follows:

	Director	Roles	Executive	Non-Executive	Independent Non-Executive Director
1	Mr. R. Mbugua	Chairman of Board Chairman of NCG			
2	Mrs. M. Gathoga-Mwangi	Managing Director			
3	Mr. A. Kamau	Finance Director			
4	Mr. M. Kruger	Director Member of NCG Member of A&R			
5	Mrs. L. Njoroge	Director Chairman of RRC			
6	Mrs. C. Wetende	Director Member of RRC Member of NCG Member of A&R			
7	Mr. S. Maina	Director Chairman of A&R			
8	Mr. R. Chetty	Director Member of RRC			

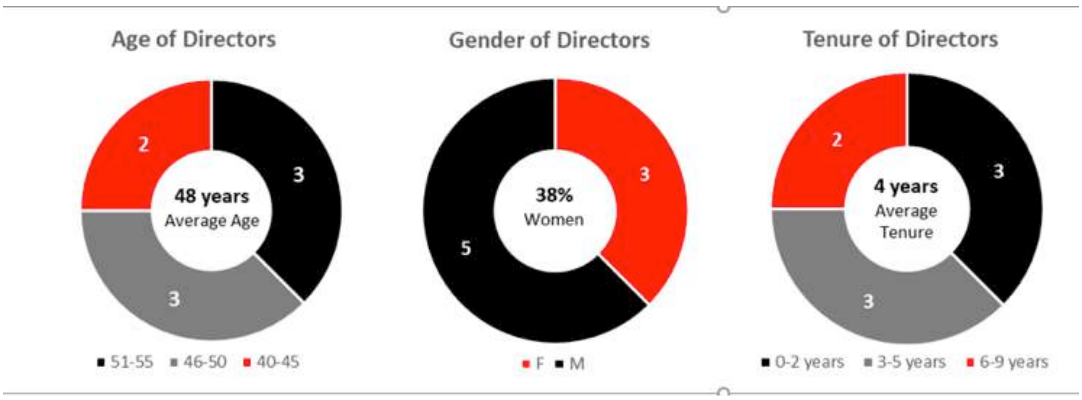
** NCG – Nominations and Corporate Governance Committee*
** RRC – Retirement and Remunerations Committee*
** A&R – Audit & Risk Committee*

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Board Diversity

The Board appreciates the benefits of diversity in all its forms, within its own membership and at all levels of the Company. The Board promotes diversity and also encourages initiatives to improve gender diversity in Senior Management roles. The Board Nominations and Corporate Governance Committee considers the balance of skills and experience of current Directors when considering a proposed appointment. The Boards Diversity Policy and Policy on Appointments to the Board can both be read on the Company's website (www.boc.co.ke).



Re-election

The Non-Executive Directors do not have service contracts with the Company but instead have Letters of Appointment for three years; subsequent reappointment is subject to endorsement by the Board.

In accordance with the Articles of Association of the Company, all Directors offer themselves for re-election at regular intervals. Mr. A. Kamau, Mr. M. Kruger and Mr. S. Maina, being eligible, will submit themselves to re-election at the next Annual General Meeting of the Company when convened.

Board Work Plan

The Board's work plan for the ensuing year is approved by the Board typically at the last meeting of the year. The work plan is designed to enable the Board to drive the strategic agenda forward across all the elements of the Company's business model. The key Board activities in 2019 are set out on page 33. The 2020 Board work plan was approved by the Board on 19 November 2019.

Board Information

The Board receives high-quality, up to date information for review in good time ahead of each meeting. The Company Secretary ensures timely information dissemination within the Board and its Committees and between the Non-Executive Directors and Senior Management as appropriate.

Attendance at Board and Annual General Meetings

Members of the Board are expected to devote such of their time, attention and abilities as may be necessary to fulfill the duties of their appointments. This includes attendance at Board meetings which are held at least quarterly, the Annual General Meeting and other Board and General Meetings if called in addition to Board Committee meetings as appropriate.

In 2019 Members attended Board meetings held in March, June, August and November and the Annual General Meeting held in June as disclosed in the table below. If, owing to exceptional circumstances, a Director was not able to attend a Board meeting, they ensured that their views were made known to the Chairman in advance of the meeting.

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Attendance at Board and Annual General Meetings in 2019

Name	Meetings Attended	Meetings Eligible to Attend
Mr. R. Mbugua (Chairman)	5	5
Mrs. M. G-Mwangi (Managing Director)	5	5
Mr. A. Kamau (Finance Director)	5	5
Mr. M. Kruger	2	5
Mrs. L. Njoroge*	5	5
Mrs. C. Wetende	5	5
Mr. S. Maina	5	5
Mr. R. Chetty	4	5

**Mrs. L. Njoroge resigned from the Board on 28 February 2020.*

Board Induction

On appointment to the Board all Directors receive induction which is tailored to the new Director's individual requirements. The induction schedule is designed to quickly provide the new Director with an understanding of how the BOC Group works and the key issues that it faces. The induction typically consists of a full programme of briefings on all areas of the business including but not limited to the following:

- Introduction to the Board;
- Introductions to Senior Management;
- Business Overview Presentations;
- Sessions with the Board Chairman, Board Committee Chairmen, the Company Secretary and the External Auditors as appropriate; and
- A Factory Tour.

Upon completion of the induction programme the Director should have sufficient knowledge and understanding of his or her roles and responsibilities as a Director to the Board, the nature of the business, and the opportunities and challenges facing BOC to enable them to effectively contribute to strategic discussions and oversight of the Group.

Training and development

In order to continue to contribute effectively to Board and Board Committee meetings, Directors are encouraged to continually update their skills and knowledge of the business. The Directors are also provided with the opportunity to take part in training and development. As part of the annual one-on-one performance review with the Chairman, any particular development needs that can be met are discussed.

The Company Secretary organizes a training schedule for the year which includes both formal training and functional presentations or topic specific briefings which training schedule is approved by the Board.

During 2019, each Director was able to secure more than twelve hours training on areas of governance from the Company and other credible sources as prescribed by the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015. The Non-Executive Directors were invited to attend scheduled monthly Town Hall meetings with staff and also visited and engaged with members of the Management Team of Aga Khan Hospital during the month of August 2019 to augment exposure to the Company's business and products on the ground.

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Training and development (continued)

Trainings received by Directors from the Company and other credible sources during 2019 included but were not limited to the following topics:

Customer Engineering Services Training	-	March 2019
Being a Director Part 1-4 [Institute of Directors Southern Africa]	-	May 2019
Board Oversight Culture [KPMG]	-	July 2019
Finance for Non-Finance Directors	-	July 2019
Annual IFRS Update Workshop [PWC]	-	November 2019
State of Corporate Governance [CMA]	-	December 2019

The Board of Directors inspecting the Company's storage tank at the Aga Khan Hospital on 30 August 2019.

Non-Executive Director Mrs. C. Wetende addressing staff at one of the monthly Staff Town Hall meetings.

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Board Evaluation
The Board conducts a critical evaluation of its effectiveness and that of its Committees, the Executive and Non-Executive Directors, Chairman, the Managing Director and the Company Secretary. The evaluation is conducted by each Director completing a Board Effectiveness Evaluation Form. This information is thereafter collated by the Company Secretary and presented to the Nominations and Corporate Governance Committee with a view to identifying and recommending areas for improvement. The findings from the Board Evaluation exercise are subsequently presented to the full Board and recommendations for improvement discussed and if thought fit, approved.

The evaluation for 2019 was conducted by the Board in Quarter 1 of 2020. The full Board joined the Nominations and Corporate Governance Committee in evaluating the results. Whilst the Board and each of its Committees were considered to be effective, opportunities for improvement were identified and recommendations and fresh action points were identified for implementation.

All Directors were considered to have performed well and each was considered to be making an effective contribution to the Board. Individual feedback was given to all Board members by the Chairman. Feedback on the performance of the Chairman, the Managing Director and Company Secretary was given to them by the Nominations and Corporate Governance Committee.

Time commitment
It is expected that in order to discharge their responsibilities effectively all Directors allocate sufficient time to their roles on the Board. Directors are expected to attend, and to be well prepared for, all Board and Board Committee meetings, as well as making time to understand the business, meet with executives and regulators as appropriate, and complete ongoing training. The Chairman and other Non-Executive Directors endeavor to ensure that they have adequate time to discharge their responsibilities to the Board effectively.

Conflict of Interest
The Board has formal procedures for managing conflict of interest in accordance with the Board Charter, the Companies Act 2015 and the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015. Any conflict of interest or apparent conflict of interest between the Company and its Directors is avoided. Directors are required to declare any potential or actual conflicts of interest that could interfere with their ability to act in the best interests of the BOC Group. Any circumstances which may give rise to actual or potential conflicts of interest are disclosed to the Board upon appointment and subsequent changes highlighted as they arise. A Conflict of Interest Register is maintained for that purpose. Directors are also given the opportunity, at the start of every Board meeting, to declare any actual or potential conflict of interest with their role as Directors. During the course of 2019 no conflict of interest was declared by any Director. The Board Conflict of Interest Policy can be read on the Company's website (www.boc.co.ke). A Conflict of Interest Policy is also maintained for all employees of the Company.

Financial and Business Reporting
The Board is satisfied that it has met its obligation to present a balanced and understandable assessment of the Company's position through the Annual Report. It is appropriate to treat this business as a going concern as there is sufficient existing financing available to meet expected requirements in the foreseeable future. The Audit & Risk Committee is assigned to review financial, audit and internal control issues and risks in supporting the Board of Directors which is responsible for the financial statements and all information in the Annual Report.

Risk Management and Internal Control
The Board is responsible for determining the nature and extent of the significant risks that the Company is willing to take to achieve its strategic objectives and for maintaining sound risk management and internal control systems. With the support of the Audit & Risk Committee, the Board carries out a review of the effectiveness of its risk management

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Risk Management and Internal Control (continued)

and internal control systems covering all material controls including financial, operational and compliance controls and risk management systems.

The Directors have also defined procedures and financial controls to ensure that the Group's system of internal controls provide reasonable assurance that the assets are safeguarded, transactions are authorized and recorded properly, and that material errors and irregularities are either prevented or detected within a reasonable period of time. There is a clearly defined organizational structure within which individual responsibilities are identified in relation to internal controls. The structure is complemented by defined procedures, financial controls and information system controls.

The Group's internal audit department performs various activities in the evaluation of the risk management, control and governance process. Significant business risks and weaknesses in the systems of operating and financial controls are highlighted and brought to the attention of the Audit & Risk Committee, senior management and external auditors. Areas accorded high-risk profiles are given urgent attention by Management. At every Board meeting the status of mitigations against identified business risks is reviewed to ensure timely implementation of corrective actions.

The Board, with advice from its Audit & Risk Committee, completed its annual review of the effectiveness of the system of risk management and internal control for the financial period ending 31 December 2019. No significant failings or weaknesses were identified and the Board is satisfied that, where specific areas for improvement have been identified, processes are in place to ensure that the necessary remedial action is taken and that progress is monitored.

Remuneration

The Board has delegated responsibility for the consideration and recommendation of the remuneration arrangements of the Chairman, Executive Directors, Non-Executive Directors, other senior executives and certain Group employees to the Board Retirement and Remuneration Committee. The Board as a whole considers recommendations from the Board Retirement and Remuneration Committee on the fees to be paid to Non-Executive Directors. Information on the activities of the Board Retirement and Remuneration Committee in 2019 can be found on pages 37 to 38 and the Directors Remuneration Report is on page 42.

Communication with Shareholders and Stakeholders

The Board is committed to promoting effective and open communication with all shareholders and stakeholders, ensuring consistency and clarity of disclosures at all times. The Company aims to engage with its shareholders and stakeholders transparently in order to facilitate a mutual understanding of their respective objectives.

Financial reporting:- The Board strives to ensure that shareholders (including institutional investors), regulators, other key stakeholders and the financial markets are provided with full and timely information about its performance. The Company aims to deliver all financial and strategic communications in a consistent and open way and to ensure that such disclosures are easily intelligible and present a balanced and understandable assessment of the Company's position and prospects. During 2019 the half-year and annual results were released in the local press, the Company's website and through distribution of the 2018 Annual Report. An Investors Briefing was conducted on 30 August 2019 to announce the Company's half-year results.

Annual General Meeting (AGM) participation:- The Board and the Executive Team continue to consider the AGM as a key date in the diary. The AGM provides a useful opportunity to the Board to engage with shareholders on key issues facing the Group and any questions they may have. The Chairman, all Directors and Executive Team members were available at the 2019 AGM for informal discussions with shareholders either before or after the meeting. All resolutions which were proposed at the 2019 AGM were passed unanimously. Concerns raised by shareholders during question time were considered and discussed by the Board at its subsequent meeting held in August 2019.

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Communication with Shareholders and Stakeholders (continued)

The 2020 AGM of the Company is deferred as explained on page 1 of this Annual Report.

Institutional investors:- The Company is committed to managing relationships with institutional investors. An investor Briefing Session is conducted at least once a year following publication of either end year and or half year financial results to update investors on the Company's business and strategy. An Investor Briefing Session was held on 30 August 2019. The Investors Briefing was held at the Nairobi Securities Exchange Limited (NSE) and was followed by 'Ringing of the Bell' by the Managing Director to commemorate the Company's 50 years of listing on the NSE. The Chairman, the Directors as well as other Senior Management attended both the Investor Briefing Session and the 'Ringing of the Bell'.

Public policy engagement:- The Company intermittently engages in dialogue on issues where it has a legitimate interest, i.e. where public policy directly affects its business and customers. Any communication undertaken is honest, comprehensive and accurate and underpinned by the Company's Principles Governing Shareholder and Stakeholder Communication which can be read on the Company's website (www.boc.co.ke).

Mrs. M. Gathoga-Mwangi 'Rings the Bell' at the NSE to commemorate the Company's 50 years of listing on the NSE.

Directors Loans
There were no loans made to Directors at any time during the year.

Governance Audit
In compliance with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015, the Board appointed Ms. Catherine Musakali, of Dorion Associates LLP, to conduct the Company's 2017 and 2018 Governance Audits. The 2018 Report of the Independent Governance Auditor was disclosed in the 2018 Annual Report and an unqualified opinion issued. The Report is available on the Company's website (www.boc.co.ke).

To enable the Company to address audit findings from the 2018 Governance Audit the Company requested and was granted deferment of the 2019 Governance Audit by the Capital Markets Authority.

GOVERNANCE REPORT (continued)

BOARD EFFECTIVENESS (continued)

Legal and Compliance Audit
In compliance with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 and the Company's Legal and Compliance Policy, the Board appointed Munyao, Muthama & Kashindi Advocates to conduct the Legal & Compliance Audit for the year ended 31 December 2018. In the Legal Compliance Auditor's opinion the Board has established internal procedures and monitoring systems to promote compliance with the existing legal and regulatory framework and in line with international best practices in risk management for the interest of stakeholders and shareholders. That fact notwithstanding, the audit revealed weaknesses and gaps for the Company to address. The report therefore recommended appropriate action for every specific finding. The legal compliance auditors overall ranking of the Company was GOOD. The overall Executive Summary emanating from the Audit dated 27 March 2019 is published on the Company's website www.boc.co.ke The Legal and Compliance Policy is also published on the Company's website.

Pursuant to the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 the next Legal and Compliance Audit will be conducted in 2021.

STRATEGIC BOARD ACTIVITIES IN 2019

Strategic Board activities conducted in 2019 include the following:

- Reviewing and agreeing a re-articulation of the Company's strategy;
- Endorsing the direction and activities proposed by Management to achieve the strategy and ensuring that Management was on track to deliver the Company's strategy;
- Discussing and improving the Board's understanding of key risks facing the Company and considering the potential impact on the business of specific risk factors in consultation with the Board Audit Committee;
- Keeping the Company's trading and performance against the 2019 Budget and the previous year under review and monitoring operational key performance indicators;
- Keeping the competitive landscape under review;
- Reviewing operations of the subsidiary companies, BOC Tanzania Limited and BOC Uganda Limited;
- Reviewing the Company's Business Continuity Management process and Business Continuity Plans as well as the implementation of the improvement areas;
- Monitoring Safety, Health, Environment and Quality (SHEQ) incidents;
- Exploring savings and productivity opportunities;
- Monitoring the status of the Company's litigation proceedings;
- Monitoring compliance with the Companies Act 2015 and the CMA Code;
- Monitoring compliance with the Company's Code of Business Integrity;
- Reviewing succession planning at Board Level including Executive Directors and the Executive Team;
- Reviewing headcount and the establishment and approving re-structure and right sizing of the organization to deliver the Company's strategy;
- Reviewing the talent pipeline and succession planning for key roles in the organization;
- Reviewing shareholder concerns raised at the AGM held on 21 June 2019;
- Reviewing and approving submission to the Capital Markets Authority (CMA) on 30 April 2019, of the Company's CMA Reporting Template.
- Receiving the 2018 Governance Audit Report and the 2018 Legal and Compliance Audit Report and reviewing implementation of the recommendations made from both; and
- Ensuring implementation of the Directors' 2019 Training Plans.

BOARD COMMITTEES

The Board has established three principal Board Committees, to which it has delegated some of its responsibilities namely, the Audit & Risk Committee, the Nominations and Corporate Governance Committee and the Retirement and Remuneration Committee.

GOVERNANCE REPORT (continued)

AUDIT AND RISK COMMITTEE

Mr. S. Maina
Chairman of Committee

Mr. M. Kruger
Member of Committee

Mrs. L. Njoroge
Member of Committee

Mrs. C. Wetende
Members of Committee

Current Members
Mr. S. Maina (Chairman)
Mr. M. Kruger
Mrs. L. Njoroge
Mrs. C. Wetende
Ms. R.T. Ngobi (Secretary)

In 2019 Members attended Committee meetings held during the months of March, June, August and November as disclosed in the table below.

Attendance at meetings in 2019

Name	Meetings Attended	Meetings Eligible to Attend
Mr. S. Maina	4	4
Mr. M. Kruger	2	4
Mrs. L. Njoroge*	4	4
Mrs. C. Wetende	4	4
Mrs. M. Gathoga Mwangi**	4	4
Mr. A. Kamau**	4	4
Ms. N. Nakana**	2	4

** Mrs. L. Njoroge resigned from the Board on 28 February 2020.*
***Mrs. M. Gathoga-Mwangi (Managing Director), Mr. A. Kamau (Finance Director), Ms. N. Nakana (Group Internal Audit Manager) attended as Permanent Invitees.*

Mandate and Role of the Audit and Risk Committee
The Board Audit and Risk Committee assists' the Board of Directors in carrying out its responsibilities with respect to the management of business risks and internal controls and the conduct of business in accordance with the Code of Business Integrity.

The Board Audit and Risk Committee is comprised of three Independent Non-Executive Directors and one Non-Executive Director. The Chairman of the Committee, Mr. S. Maina, is an Independent Non-Executive Director. The Committee met four times during 2019. Attendance included internal and external auditors, as well as permanent invitees from Management.

The Audit and Risk Committee is responsible for monitoring the integrity of the financial statements and any formal announcements relating to the Company's performance, considering any significant issues and judgements reflected in them before submission to the Board. The Committee keeps under review the consistency of the accounting policies

GOVERNANCE REPORT (continued)

AUDIT AND RISK COMMITTEE (continued)

Mandate and Role of the Audit and Risk Committee (continued)

applied by the Company, reviews the effectiveness of the accounting, internal control and business risk systems of the Company and, when appropriate, makes recommendations to the Board on business risks, internal controls and compliance.

The Committee is also responsible for monitoring compliance with the Company's Code of Business Integrity, the CMA Code, laws and regulations, monitoring and reviewing the effectiveness of the Company's internal controls; and monitoring and reviewing the performance of the Company's external auditors by keeping under review their independence and objectivity, making recommendations as to their reappointment (or, where appropriate, making recommendations for change), and approving their terms of engagement and the level of audit fees payable to them.
The Board has an obligation to establish formal and transparent arrangements for considering how it should apply the corporate reporting and risk management and internal control principles and for maintaining an appropriate relationship with the external auditors, which is delivered through the Audit & Risk Committee.

The Audit and Risk Committee is also responsible for monitoring and reviewing the effectiveness of the internal audit arrangements. The Group Internal Audit Manager is a permanent invitee to the Committee. The Group Internal Audit Manager presents a report to the Committee on the audit plan for the year as well as updates on ongoing and completed audits.

The Committee Chairman, Members of the Committee and the Company Secretary endeavor to meet with the external auditors at the end of every meeting without Management, to discuss relevant issues as well as the progress of the audit.

Key Audit and Risk Committee activities in 2019
The Board Audit & Risk Committee's agenda in 2019 continued to include its responsibilities for overseeing the performance and effectiveness of internal and external audit. The Committee also continued to exercise its responsibilities for ensuring the integrity of BOC's published financial information by debating and challenging the judgements made by Management and the assumptions upon which they are based.

Standing items of business considered by the Committee during 2019:
- Progress on the 2019 Internal Audit Plan;
- Periodic reports from the Group Internal Audit Manager on both local and regional process audits, the Management responses and action plans being put in place to address any concerns raised;
- Updates on key risks facing the business and mitigating steps put in place with deep dives into specific risk topics;
- The Company's 2018 results, 2019 half-year results, the external auditor's reports for these, and interim management statements;
- The steps taken to validate the 'Going Concern' assessment at half year and year-end;
- A report from the Finance Director on the information flows, and drafting and approval processes for the preparation of the Annual Report, facilitating the Committee's advice to the Board that the 2018 Annual Report was fair, balanced and understandable.
- Quarterly reports on internal controls and compliance;
- Quarterly reports on security risks, frauds and losses;
- Updates on significant legal cases, Safety, Health, Environment and Quality issues;
- Reports on compliance with the Company's Code of Business Integrity;
- Whistleblowing reports;
- 2020 External Auditor's Audit plan and fees for recommendation to the Board; and
- Annual review of external auditors' independence.

GOVERNANCE REPORT (continued)

AUDIT AND RISK COMMITTEE (continued)

External Auditors
The Board Audit and Risk Committee oversees the effectiveness of BOC's external auditors. KPMG Kenya is the Company's external auditors. The Audit and Risk Committee considers that the relationship with the auditors worked well during the period and remains satisfied with their effectiveness as confirmed from the results of the Committee and Board's evaluation of KPMG's performance in 2019. The external auditors are required to rotate the audit partners responsible for the audit at least every five years. The current lead audit partner has been in the position since 2014.

Auditor Independence
The Committee has an established policy aimed at safeguarding and supporting the independence and objectivity of the Company's external auditors, which is regularly reviewed and updated. The basic principle of the policy is that the Company's external auditors may be engaged to provide additional services only in cases where those services do not impair their independence and objectivity.

The external auditors may not be engaged to provide services if the provision of such services would result in the external auditors:

- Having a mutual or conflicting interest with any Group company;
- Being placed in the position of auditing their own work;
- Acting as a manager or employee of any Group company; or
- Being placed in the position of advocate for any Group company.

Subject to the above, the external auditors may provide certain tax services. The Committee recognizes that using the external auditors to provide such services is often of benefit due to their detailed knowledge of the business.

The policy also requires the submission to the Committee, typically prior to the year end, of a work plan identifying the total fees for all audit-related services and tax services which it is expected will be undertaken by the external auditors in the following year. In this way, the Committee has full visibility of spend on audit-related services and tax services enabling it to discharge its responsibility for keeping such fees under review and ensuring that neither their level, nor their nature, risk impairing the external auditors' independence and objectivity.

KPMG reconfirms its independence on an annual basis and did so in 2019.

NOMINATIONS AND CORPORATE GOVERNANCE COMMITTEE


Mr. R. Mbugua
Chairman of Committee


Mr. M. Kruger
Member of Committee


Mrs. C. Wetende
Member of Committee

Current Members
Mr. R. Mbugua (Chairman)
Mr. M. Kruger
Mrs. C. Wetende
Ms. R. T. Ngobi (Secretary)

GOVERNANCE REPORT (continued)

NOMINATIONS AND CORPORATE GOVERNANCE COMMITTEE (continued)

Current Members (continued)

In 2019 Members attended Committee meetings held during the months of March, August and November as disclosed in the table below.

Attendance at meetings in 2019

Name	Meetings Attended	Meetings Eligible to Attend
Mr. R. Mbugua	3	3
Mr. M. Kruger	2	3
Mrs. C. Wetende	3	3
Mrs. M. Gathoga-Mwangi*	3	3

**Mrs. M. Gathoga-Mwangi attended as a Permanent Invitee.*

Mandate and Role of the Nominations and Corporate Governance Committee
The Nominations and Corporate Governance Committee is responsible for identifying candidates to fill vacancies on the Board and has oversight on the adherence and compliance by the Company to its Code of Business Integrity and to the principles and requirements of good corporate governance as espoused by the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (CMA Code).

The process of identification of candidates to fill vacancies to the Board is guided by the Board's Policy on Appointments to the Board and includes reviewing the structure, size and composition of the Board to ensure it has an appropriate balance of skills, expertise, knowledge and independence prior to recruitment.

For Non-Executive Director vacancies to be filled, the selection process will generally involve interviews of suitable prospective candidates by the Committee and its Chairman and thereafter recommendation to the Board for appointment.

The services of specialist external search firms are used for identification and shortlisting of appropriate candidates to take up Executive Director roles. This process was followed for the recruitment of Mrs. M. Gathoga-Mwangi as Managing Director in 2018.

The Nominations and Corporate Governance Committee is also charged with the responsibility of assessing the independence of Non-Executive Directors on an annual basis and evaluating the effectiveness of the Board and the effectiveness of the Directors in the discharge of their responsibilities.

The Committee also evaluates and makes recommendations with regard to the composition of all Board Committees.

Following the introduction, by the CMA, of annual Governance Audits and compliance reporting the Committee provides oversight of implementation of the CMA Code and Compliance Reporting.

The Committee, on behalf of the Board, monitored implementation of recommendations that emanated from the 2018 Governance Report and the recommendations from the CMA to the Company's Compliance Report submitted on 30 April 2019. The Compliance Report is available on the Company's website (www.boc.co.ke).

Key Nominations and Corporate Governance Committee activities in 2019
- Reviewing succession planning for the Board Executive Directors and Non-Executive Directors;
- Reviewing the effectiveness of the Board following the Board Evaluation exercise and making recommendations to the Board on actions to be adopted towards improvement;

GOVERNANCE REPORT (continued)

NOMINATIONS AND CORPORATE GOVERNANCE COMMITTEE (continued)

Key Nominations and Corporate Governance Committee activities in 2019 (continued)

- Monitoring implementation of the recommendations adopted by the Board following the Board Evaluation exercise;
- Reviewing and recommending approval, by the Board, of submission of the CMA Compliance Report as completed by the Company;
- Monitoring implementation of the recommendations from the 2018 Governance Audit Report;
- Monitoring implementation of recommendations made by the CMA from the CMA Compliance Report submitted by the Company;
- Reviewing the Independence of Directors against the criteria set under the CMA Code;
- Reviewing the Corporate Governance Statement for the 2018 Annual Report;
- Reviewing the Composition of the Board's Committees;
- Review of the Boards' Diversity Policy and the Nominations Committee's Terms of Reference.

RETIREMENT AND REMUNERATION COMMITTEE IN 2019


Mrs. L. Njoroge
Chairman of Committee


Mrs. C. Wetende
Member of Committee


Mr. R. Chetty
Member of Committee

Members in 2019
Mrs. L. Njoroge (Chairman)
Mrs. C. Wetende
Mr. R. Chetty
Ms. R.T. Ngobi (Secretary)

In 2019 Members attended Committee meetings held in during the months of March, August and November as disclosed in the table below.

Attendance at meetings in 2019

Name	Meetings Attended	Meetings Eligible to Attend
Mrs. L. Njoroge*	3	3
Mrs. C. Wetende	3	3
Mr. R. Chetty	3	3
Mrs. M. Gathoga-Mwangi**	3	3
Mr. A. Kamau**	3	3
Mr. L. Hunter**	3	3

** Mrs. L. Njoroge resigned from the Board on 28 February 2020.*
***Mrs. M. Gathoga-Mwangi, Mr. A. Kamau and Mr. L. Hunter attended as Permanent Invitees.*

GOVERNANCE REPORT (continued)

RETIREMENT AND REMUNERATION COMMITTEE IN 2019 (continued)

Mandate and Role of the Retirement and Remuneration Committee
The Retirement and Remuneration Committee determines and makes recommendations to the Board on the remuneration policies of the Company, and the terms and conditions of employment of the Executive Directors and Senior Management. The Committee ensures that compensation for all employees is performance-driven and appropriately benchmarked against other companies in Kenya.

The Committee is responsible for setting executive remuneration covering salary and benefits, performance related bonus arrangements, pensions and terms of service, monitoring and advising the Board on major changes to the policy on employee benefit structures for the Company.

Remuneration of Non-Executive Directors is also reviewed by the Committee to ensure that the levels of remuneration and compensation are appropriate. Information on the aggregate amounts of emoluments and fees paid to Directors is disclosed in Note 35 (f) of the financial statements. The Directors Remuneration Report is on page 42 of this Report.

All members of the Committee are Non-Executive Directors.

Key Retirement and Remuneration Committee activities in 2019
- Reviewing the application and continuing impact of the Remuneration Policy during 2019;
- Reviewing succession planning of Executive Directors and the Executive Team and the talent pipeline;
- Reviewing the development of leaders in the Company and in particular activities to embed a high-performance leadership culture;
- Making recommendations on annual salary increments for approval by the Board;
- Reviewing Non-Executive remuneration and making recommendations to the Board for approval;
- Reviewing Staff Training and development plans for 2019;
- Review of the performance of the Company's two retirement funds; and
- Review of Committee Terms of Reference and other HR related policies for approval by the Board.

Employment Equity
The Group is committed to the creation of an organization that supports the equality of all employees and is committed to the elimination of any form of discrimination in the work place. Our policy covers recruitment, staff development, retention and cultural diversity.

Our succession planning process identifies ability and talent, and monitors, on a regular basis, the performance of high-fliers. Individual development plans are agreed upon in collaboration with managers of the respective employees.

The Group manages the development of functional skills through the "License-to-Work" approach. This approach ensures that all employees are competent to perform their specific duties within a given time frame.

The Retirement and Remuneration Committee also ensures that manpower plans are implemented timeously.

GOVERNANCE POLICIES

Board Charter and Committee Terms of Reference

The Board is governed by a Board Charter which stipulates the roles and responsibilities of the Board and its members, the composition of the Board and its Committees and respective Terms of Reference. The Board Charter and Committee Terms of Reference are published on the Company's website (www.boc.co.ke).

GOVERNANCE REPORT (continued)

Code of Business Integrity

Inextricably linked to good corporate governance is the Company's Code of Business Integrity. The Linde Plc has always espoused the highest ethical standards of business conduct and full compliance with applicable laws, regulations and industry standards.

The Company believes in open and honest communication, fair treatment and equal opportunities and supports the fundamental principles of human rights.

While common sense, good judgement and conscience apply in managing a difficult or uncertain situation, the Code of Business Integrity assists in detailing the standards and priorities within The Linde Plc, as well as specific rules covering human rights, safety at work and environmental and supply management. Guiding principles or core values within the Code define our responsibilities towards and what we expect from Directors, employees, local communities and the public, customers, suppliers and markets and Shareholders.

Allegiance to the Code of Business Integrity is the starting point from which employees draw inspiration and guidance for behaviour within a group, society or the organization. An integrity line has been established to enable employees to report contraventions of the Code of Business Integrity.

Whistle Blowing and Staff Helpline

The Company has a Whistleblowing Policy which enables staff, in confidence, to raise concerns and to report incidents they consider to be against our established code of conduct without fear of reprisal. This facility is managed by an independent third party organization to further protect confidentiality. The Committee receives periodic reports on whistleblowing incidents, if any. The Audit & Risk Committee remains satisfied that the Company's policy and procedures enable proportionate and independent investigation of matters raised and ensures that appropriate follow-up action is taken. No whistleblowing incidents were reported during 2019.

The Whistleblowing Policy is published on the Company's website (www.boc.co.ke).

Procurement Policy

BOC Kenya PLC maintains a Procurement Policy that governs the procurement of goods and services. The policy and the related procedures are addressed particularly to those persons who deal directly with suppliers, ordering parties/contractors, and other business partners. The policy establishes principles for business conduct and for avoiding conflicts of interest that must be adhered to by each employee. It ensures that the most appropriate and effective controls are applied in the purchase of goods and services for the Company's needs.

In addition to the Code of Conduct for Suppliers, the Company's business partners are encouraged to commit themselves to these principles.

The Procurement Policy and the Code of Conduct for Suppliers to BOC Kenya PLC are published on the Company's website (www.boc.co.ke).

Statement on Insider Dealing

The Company is obligated by law and by its Code of Business Integrity to ensure that Directors and certain other employees, with insider information, do not abuse or place themselves under suspicion of abusing insider information that they may have or thought to have. This is especially key in periods leading up to an announcement of financial results. To this end, the Company has a Share Trading Policy which sets out the requirements for BOC insiders, in dealing in shares of the Company.

GOVERNANCE REPORT (continued)

Statement on Insider Dealing (continued)

In compliance with the Companies Act, 2015, the Company communicates 'open' and 'closed' periods for trading in its shares to the Directors and its employees at key periods during the year. To the best of the Company's knowledge, there were no insider dealings during the 2019 financial year.

The Company's Share Trading Policy is published on the Company's website (www.boc.co.ke).

Board Related Party Transactions Policy

The Board Related Party Transaction Policy enables the Board of BOC Kenya PLC to consider the approval and reporting of transactions between the Company and any of its Directors, Executive Officers or Significant Shareholders or certain entities or persons related to them. Such transactions are appropriate only if they are in the best interest of the Company and its shareholders.

The Company is required to disclose each year in its Annual Report certain transactions between the Company and Related Parties as well as its policies concerning transactions with Related Parties. In addition, the Board reviews any Related Party Transactions involving Non-Executive Directors as part of the annual determination of their independence.

The Board Related Party Transactions Policy is published on the Company's website www.boc.co.ke.

During 2019 there were no reports of transactions between the Company and any of its Directors, Executive Directors and other staff. Transactions between the Company and its parent company and associated companies are disclosed under Note 35 to the Financial Statements from Pages 108 to 110.

Health, Safety and Environment Policy

Our principles:
Health, safety and care for the environment (HSE) are foundational principles of our businesses.

The health and safety of our colleagues, customers, business partners and communities in which we do business is our number one priority.

Personal ownership for HSE through visible, demonstrated leadership and accountability at all levels throughout Group. HSE principles shall be reflected in 100% of our behaviour, 100% of the time.

Our vision:
- Zero incidents.
- Safe, secure and healthy working conditions for all who work with and for us.
- High quality, safe and environmentally responsible products and services that meet or exceed the expectations of our customers.
- Responsible use of natural resources.
- Economic and environmental sustainability in everything we do.

Our commitment:
- Comply with applicable legal, regulatory, industry and corporate requirements.
- Design, construct and operate our facilities in a safe, secure, efficient and environmentally responsible way.
- Personal accountability to continuously improve our HSE performance through tracking against our goals and targets.
- Proactive management of risk in our business.

GOVERNANCE REPORT (continued)

Health, Safety and Environment Policy (continued)

- Work with our business partners and our relevant industries to actively promote and enforce compliance with this policy.
- Promote open communication and learning with all stakeholders and sharing of HSE knowledge.
- Provide resources, training, equipment and other support to enable fulfilment of this policy.

The Board is committed to the implementation of this HSE policy.

Corporate Social Responsibility and Investment Policy

The Company's Corporate Social Responsibility and Investment Policy focuses on activities that are of material importance to the business and are of interest to our stakeholders and shareholders.

The Company combines long-term business success with environmental and social responsibility and considers sustainability to be an important part of its Corporate Strategy. It is aware of the potential adverse impacts of its business to on people, especially on safety and ensures that its operations and products meet the highest safety standards and that employees, contractors, business partners and customers receive continuous training.

The Company seeks to enhance the safety awareness of customers through product knowledge training with the objective of ensuring that they do not come to harm whilst using its products which include gases at cryogenic temperatures (below minus 150 degrees C), flammable gases and high-pressure cylinders and other gas containers.

Information Technology Policy

BOC Kenya PLC's information technology (IT) systems are covered under an IT Policy. The policy aims to protect the Company's investment in information technology infrastructure, IT equipment and mobile facilities, data/telecommunications networks and software, maintain the highest standards of cyber security, while protecting the Company's confidential and sensitive information. The IT Policy is published on the Company's website (www.boc.co.ke).

DIRECTORS' REMUNERATION REPORT 2019

The Directors Remuneration Policy and Remuneration Report for the Executive and Non-Executive Directors applicable in 2019 were approved by the Shareholders at the 2018 Annual General Meeting held on 21 June 2019. The Report has been prepared in accordance with the relevant provisions of both the Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the Code) on Directors remuneration and the Kenyan Companies Act, 2015.

Principles of remuneration policy 2019

The Retirement and Remuneration Committee considers the remuneration policy annually to ensure that it remains aligned to business needs and is appropriately positioned relative to the market. Its overriding objective is to reward the delivery of the Company's strategy in a manner that is simple, straightforward and understandable.

Executive Directors

The Executive Directors remuneration package comprises core fixed elements (basic salary, retirement and other benefits) designed to recognize the skills and experience of the Executive Directors and to ensure current and future market competitiveness in attracting talent.

Executive Directors are eligible to participate in the Company's Short Term Incentive Plans which is anchored on achievement of key business performance indicators.

The table below outlines the key components of the Executive Directors remuneration packages as compensation for their role as key senior management within the BOC Group.

The Company has a Directors and Officers insurance covering all Directors and Officers for the aggregate sum of Kenya Shillings 50 million.

DIRECTORS' REMUNERATION REPORT 2019 (continued)

Executive Directors (continued)

Reward	Purpose and link to strategy	Mechanics of Reward	Performance metrics
Basic Salary	Attract and retain high calibre individuals to deliver the Company's strategic plans by offering market competitive remuneration to reflect an individual's skills and experience.	- Paid in 12 equal monthly instalments during the year and is pensionable. - Reviewed annually with salary changes effective from April depending on performance.	Individual and business performance
Pension	Provide competitive post-retirement benefit arrangements so as to attract and retain high calibre talent to drive delivery of strategy.	Annual contribution up to the 10% of basic salary.	None
Other benefits	Provide market competitive benefits which: - facilitate the attraction and retention of high calibre talent to deliver the Group's strategic plans; and - recognise that such talent is global in source and that the availability of certain benefits are key enablers for attraction and retention.	Range of benefits include: - Housing allowance - Transport allowance - Medical insurance - Personal life and accident insurance	None
Short term Incentives Plan	Incentivise the attainment of corporate targets aligned to the strategic objectives of the Group on an annual basis.	- Payout is done annually in April after measurements and approval of results. - 100% of the bonus is paid in cash. - Payout is 25% of annual Salary for Managing Director and 15% for Finance Director	Targets are set annually based on the group and company business plans.

Service contracts – Executive Directors

Duration of current contracts	The Managing Director and the Finance Director are on permanent and pensionable contracts of employment.
Notice Period	Three months
Provision for early termination of contracts	On early termination of contracts, the executive directors are eligible for redundancy packages as follows: - Salary in lieu of notice (if notice is not given) - Redundancy payment as per Kenya's labour laws In the event that the contract is terminated for cause (such as gross misconduct), the Company may terminate the contract with immediate effect and no compensation would be payable.

DIRECTORS' REMUNERATION REPORT 2019 (continued)

Executive Directors' remuneration and compensation for the year ended 31 December 2019

The following table shows a summary of remuneration for the Executive Directors in respect of qualifying services as directors and compensation as key management for the year ended 31 December 2019 together with comparative figures for 2018:

Name	Basic salary		Housing & Other allowances		Retirement benefits		Bonus		Grand total	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
Marion Mwangi	11,475	5,118	6,888	3,044	2,203	1	611	-	21,177	8,163
Millicent Onyonyi*	-	4,953	-	3,500	-	845	-	2,960	-	12,258
Arthur Kamau	9,654	9,654	4,405	4,458	1,408	1,529	832	1,154	16,299	16,795
Total	**21,129**	**19,725**	**11,293**	**11,002**	**3,611**	**2,375**	**1,443**	**4,114**	**37,476**	**37,216**

** Millicent resigned as Managing Director on 30 April 2018*
All figures in KShs' 000

The Chairman and Non-Executive Directors

The Company looks to recruit, as Non-Executive Directors, those who have a wide range of strategic and operational experience gained from other businesses or organizations and through trainings and other interventions. A Non-Executive Director is required, as a minimum, to make an annual time commitment of about 20 days and is expected to attend all Board and Committee meetings, and AGM, a strategic budgeting session as well as maintaining an appropriate level of knowledge about the business and its operations.

As a Listed Company, the quantum and structure of Non-Executive Directors' remuneration will primarily be assessed against the same remuneration comparator group of companies used for setting the remuneration for Executive Directors.

The remuneration components for Non-Executive Directors' are as follows:

Reward	Purpose and link to strategy	Mechanics of Reward	Performance metrics
Fees	Fees for Non-Executive Directors need to be sufficient to attract, motivate and retain individuals with skills and senior-level experience to drive the Company's strategy forward	— Fixed monthly retainer — Sitting allowance for every committee or board meeting. — Reviewed annually and adjusted as required	As per Annual Board Evaluation.

DIRECTORS' REMUNERATION REPORT 2019 (continued)

Other terms: Non-Executive Directors

Shareholding requirements	There are no formal requirements for the Non-Executive Directors to hold shares in the Company. However, Non-Executive Directors are encouraged to acquire a small interest during the initial years after their date of appointment. The Non-Executive Directors do not participate in the Company's Short-Term Incentive Plan and are not members of any it's provident fund.
Terms of appointment	The Non-Executive Directors do not have service contracts with the Company but instead have letters of appointment, which are available for inspection at the Company's registered office upon notice.
Terms of termination	On termination, at any time, a Non-Executive Director is entitled to any accrued but unpaid Director's fees but not to any other compensation.

The table below outlines the key components of the Non-Executive Directors remuneration packages during 2019.

		2019			2018		
Name	Category	Fees KShs 000	Sitting allowance KShs 000	Total KShs 000	Fees KShs 000	Sitting allowance KShs 000	Total KShs 000
Robert Mbugua	Chairman Non-Executive	2,280	560	**2,840**	1,980	840	**2,820**
Ngugi Kiuna	Chairman (Retired)	-	-	**-**	1,140	420	**1,560**
Lucy Njoroge	Non-Executive	1,680	910	**2,590**	1,680	980	**2,660**
Cosima Wetende	Non-Executive	1,680	1,050	**2,730**	1,680	980	**2,660**
Steve Maina	Non-Executive	1,680	630	**2,310**	560	700	**1,260**
Marius Kruger*	Non-Executive	-	-	**-**	-	-	**-**
Ruben Chetty*	Non-Executive	-	-	**-**	-	-	**-**
Totals		**7,320**	**3,150**	**10,470**	**7,040**	**3,920**	**10,960**

** Marius Kruger and Ruben Chetty are Directors nominated by the Company's Shareholder (BOC Holdings, UK) and do not earn any personal remuneration for being on the Board. Instead an annual director's fee of KShs 425,496 per director (2018 – 425,496 per director) is paid to their employer, African Oxygen Limited, South Africa (Afrox), a sister company, where both are senior members of management.*

By order of the Board

R.T. Ngobi (Ms.)
Company Secretary
20 April 2020

SHAREHOLDING STRUCTURE AS AT 20 APRIL 2020

Major shareholders

Shareholder Name	Total Shares	Percentage Shareholding
BOC Holdings	12,765,582	65.38%
Kiuna, Ngugi Kiuna	1,484,700	7.60%
Standard Chartered Kenya Nominees Ltd A/C Ke002670	1,046,600	5.36%
Best Investment Decisions Ltd	276,500	1.42%
Saraj Properties Limited	252,100	1.29%
Rohin Jayandralal Chandaria &Sujal Rohin Chandaria	167,200	0.86%
Allied Storage Limited	126,279	0.65%
Standard Chartered Kenya Nominees Ltd A/C Ke002382	121,056	0.62%
Standard Chartered Kenya Nominees Ltd Ac Ke001966	117,800	0.60%
Mrs Carolyn Anne Gray Rosso	110,143	0.56%
Total for the 10 top shareholders	16,467,960	84.34%
Other shareholders	3,057,486	15.66%
Total for all shareholders	19,525,446	100.00%

Domicile analysis

Domicile	Shares	%	Number of Shareholders
Foreign Companies	14,051,138	71.96%	5
Foreign Individuals	496,332	2.54%	27
Local Companies	968,163	4.96%	79
Local Individuals	4,009,813	20.54%	910
Total	19,525,446	100.00%	1,018

Analysis by number of shares

Number of shares	Shares	%	Number of Shareholders
1 - 500	90,275	0.46%	539
501 – 5,000	688,045	3.52%	362
5,001 – 10,000	318,669	1.63%	45
10,001 – 100,000	1,820,216	9.53%	64
100,001 – 1,000,000	1,271,359	6.51%	8
>1,000,000	15,296,882	78.34%	3
Totals	19,525,446	100%	1,018

Directors’ shareholding

None of the directors holds shares in the Company.

TOP CUSTOMERS

Top ten customers by sales volume and revenue in Kenya, and regional subsidiaries BOC Uganda and BOC Tanzania respectively are as follows:

BOC Kenya PLC

1. Aga Khan Health Service
2. Moi Teaching & Referral Hospital
3. Mogere Agencies Limited
4. Mater Hospital
5. Metropolitan Gas Suppliers
6. Apex Steel Limited
7. Associated Battery Manufacturers
8. Kenya Hospital Association (Nairobi Hospital)
9. Tata Chemicals Magadi Limited
10. Manara Limited

BOC Uganda Limited

1. Nile Breweries Limited
2. Hoima Sugar Limited
3. Kinyara Sugar Works Limited
4. Hima Cement Limited
5. Tembo Steel Uganda Limited
6. Tororo Cement Industries Limited
7. Tradecopr Logistics DMCC
8. BIDCO
9. Karikari Sugar Limited
10. Uganda Breweries Limited

BOC Tanzania Limited

1. Sigma Gas & Engineering Limited
2. Kagera Sugar Limited
3. Bulyanhulu Gold Mine Limited
4. Ashanti Gold Field
5. ABC Gas Products Limited
6. North Mara Gold Mine Limited
7. Husein Swedy
8. TPC Limited
9. SBC Tanzania Limited
10. Capital Drilling

TOP SUPPLIERS

Top Suppliers of the Company and its subsidiaries are as follows:

1. Kenya Power & Light Co
2. SA Calcium Carbide
3. Proto Energy Limited
4. Total Kenya Limited
5. Afrox Exports
6. BOC Northern Technical
7. One Gas Limited
8. 1TW Welding Products Italy
9. Precision Parts (UK) Limited
10. Air Flow
11. Amico Corporation

STATEMENT OF DIRECTORS RESPONSIBILITIES

The Directors are responsible for the preparation and fair presentation of the Group and Company financial statements of BOC Kenya Plc set out on pages 60 to 126 which comprise the Group and Company statements of financial position at 31 December 2019, the Group and Company statements of profit or loss and other comprehensive income, the Group and Company statements of changes in equity and the Group and Company statements of cash flows for the year then ended, and the notes to the financial statements which include a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Companies Act, 2015 the Directors are required to prepare financial statements for each financial year, which give a true and fair view of the financial position of the Group and Company as at the end of the financial year and of the profit or loss of the Group and Company for that year. It also requires the Directors to ensure the Company keeps proper accounting records, which disclose with reasonable accuracy the financial position of the Group and Company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act, 2015. The Directors are of the opinion that the financial statements give a true and fair view of the financial position of the Group and Company and of the Group's and Company profit or loss.

The Directors further accept responsibility for the maintenance of accounting records, which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the ability of the Company to continue as a going concern and have no reason to believe that the business will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements were approved and authorised for issue by the Board of Directors on 20 April 2020.

Robert Mbugua
Chairman

Marion Mwangi
Managing Director

Date: 20 April 2020

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BOC KENYA PLC (FORMERLY BOC KENYA LIMITED)

Report on the audit of the consolidated and separate financial statements

We have audited the consolidated and separate financial statements of BOC Kenya Plc (the 'Group' and 'Company') set out on pages 60 to 126, which comprise the Group and Company statements of financial position as at 31 December 2019, the Group and Company statements of profit or loss and other comprehensive income, the Group and Company statements of changes in equity and the Group and Company statements of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of BOC Kenya Plc as at 31 December 2019, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities* for the *Audit of the Consolidated and Separate Financial Statements* section of this report. We are independent of the Group and Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants (IESBA Code)* together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BOC KENYA PLC (FORMERLY BOC KENYA LIMITED) (continued)

Report on the audit of the consolidated and separate financial statements (continued)

Key audit matters (continued)

Impairment of trade receivables in the consolidated and separate financial statements	
See Note 4 (j) on the Group's and Company's accounting policy on valuation of trade receivables and disclosures on Note 23.	
The key audit matter	**How the matter was addressed in our audit**
Gross trade receivables constitute a significant portion (21%) of the total assets of the Group and Company. The profile of the customers who constitute the trade receivables balance varies in character and risk. Amounts due from customers may be outstanding for long periods of time before being received by the Group and Company thus potentially exposing the Group and Company to impairment losses. Impairment of trade receivables is considered a key audit matter because the directors make subjective judgements over both timing of recognition of impairment and the estimation of the size of any such impairment using the expected credit loss (ECL) model under IFRS 9 *Financial Instruments*.	Our audit procedures in this area included, among others: — Evaluating management's judgment around the classification and measurement of financial assets and significant increase in credit risk; — Assessing the completeness and accuracy of the ageing of trade receivables, evaluating the data and assumptions made by management in arriving at the provisions and recomputing the trade receivables provision on the basis ECL model; and — Testing settlement for a sample of trade receivables balances outstanding as at 31 December 2019 for post year end receipts. — Evaluating the adequacy of financial statement disclosures, including disclosures of key assumptions and judgments.

Valuation of inventory in the consolidated and separate financial statements	
See Note 4 (h) on the Group's and Company's accounting policy on valuation of inventory and disclosures on Note 22.	
The key audit matter	**How the matter was addressed in our audit**
The Group and Company holds a significant amount of inventory which comprises finished goods, items for the processing of gases and spare parts. Inventory may be held for long periods of time before utilisation making it vulnerable to obsolescence. Provision for obsolete inventory is considered a key audit matter because the assessment and application of inventory provisions and the determination of realisable value are subject to complex models and significant judgment, made by the directors. The key judgement areas include amongst others, the determination of obsolescence rates for various aging categories of inventory and consideration over what categories of inventory to make provisions for.	Our audit procedures in this area included, among others: — Attending the inventory count at the year-end and observing if there were any obsolete or slow moving items; — Assessing the adequacy of, and movements in, inventory provisions held, by recalculating a sample of items included within the provision to ensure appropriate basis of valuation; and — Testing a sample of stock items to assess whether they were held at the lower of cost and net realisable value, and evaluating management judgment with regards to the application of provisions for inventory obsolescence.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BOC KENYA PLC (FORMERLY BOC KENYA LIMITED) (continued)

Report on the audit of the consolidated and separate financial statements (continued)

Other information

The Directors are responsible for the other information. The other information comprises the information included in the *Annual Report and Financial Statements*, but does not include the consolidated and separate financial statements and our Auditor's opinion thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the consolidated and separate financial statements

As stated on page 55, the Directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRSs, and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the Directors determine is necessary to enable the preparation of the consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for overseeing the financial reporting process.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

— Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

— Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BOC KENYA PLC (FORMERLY BOC KENYA LIMITED) (continued)

Report on the audit of the consolidated and separate financial statements (continued)

Auditor's responsibilities for the audit of the consolidated and separate financial statements (continued)

— Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
— Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
— Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
— Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our Auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies, Act, 2015, we report to you based on our audit, that:

(i) In our opinion, the information in the directors' report on pages 27 to 28 is consistent with the financial statements;
(ii) The auditable part of the directors' remuneration report on pages 49 to 52 has been properly prepared in accordance with the Kenyan Companies Act, 2015; and
(iii) Our report on the consolidated and separate financial statements is unqualified.

The signing partner responsible for the audit resulting in this independent Auditor's report is CPA Joseph Kariuki – P/2102.

KPMG Kenya
Certified Public Accountants
PO Box 40612 – 00100 GPO
Nairobi

Date: 20 April 2020

GROUP AND COMPANY STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2019

		GROUP		COMPANY	
	Note	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Revenue	8	975,863	966,543	930,610	913,804
Cost of sales	9 (b)	(546,914)	(486,259)	(511,673)	(450,822)
Gross profit		**428,949**	**480,284**	**418,937**	**462,982**
Other income	9 (a)	2,076	2,464	2,076	2,344
Distribution costs	9 (b)	(95,268)	(110,693)	(92,296)	(105,295)
Selling and administrative expenses	9 (b)	(295,954)	(305,987)	(263,543)	(261,046)
Impairment release/(charge) on financial assets	9 (b)	6,160	(16,753)	3,726	(19,140)
Operating profit		**45,963**	**49,315**	**68,900**	**79,845**
Finance income	10 (a)	54,133	73,865	49,456	69,451
Finance costs	10 (b)	(10,562)	(3,588)	(9,956)	(1,937)
Profit before tax	11	**89,534**	**119,592**	**108,400**	**147,359**
Tax expense	12	(33,633)	(54,015)	(32,801)	(45,603)
Profit for the year		**55,901**	**65,577**	**75,599**	**101,756**
Other comprehensive income					
Items that are or may be reclassified to profit or loss:					
Translation differences arising from foreign operations		662	(1,819)	-	-
Change in fair value of equity and debt investments		(30,214)	(31,445)	(30,214)	(31,444)
Deferred tax on equity and debt investments (Note 20)		(4,923)	5	(4,923)	5
Total other comprehensive income for the year net of tax		**(34,475)**	**(33,259)**	**(35,137)**	**(31,439)**
Total comprehensive income for the year		**21,426**	**32,318**	**40,462**	**70,317**
Earnings per share (KShs per share)					
Basic and diluted	13	2.86	3.36	3.87	5.21

The notes set out on pages 67 to 126 form an integral part of these financial statements.

GROUP AND COMPANY STATEMENTS OF FINANCIAL POSITION FOR THE YEAR ENDED 31 DECEMBER 2019

		GROUP		COMPANY	
	Note	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
ASSETS					
Non-current assets					
Property, plant and equipment	15	773,811	789,593	767,919	752,318
Right-of-use assets	16	10,182	-	10,182	-
Intangible assets	17	62	250	62	250
Investments in subsidiaries	18	-	-	60	60
Equity and debt investments	19	118,800	148,500	118,800	148,500
Deferred tax asset	20	8,871	28,270	10,684	29,601
Prepaid operating leases	21	-	3,084	-	3,084
Total non-current assets		911,726	969,697	907,707	933,813
Current assets					
Inventories	22	155,032	162,623	151,232	149,227
Equity and debt investments	19	226,458	333,606	226,458	333,606
Trade and other receivables	23	374,357	306,229	350,968	280,535
Tax recoverable	24	54,088	35,810	42,390	25,731
Term deposits	25	232,998	273,151	151,415	191,973
Cash and cash equivalents	26	37,980	60,631	18,373	36,510
Total current assets		1,080,913	1,172,050	940,836	1,017,582
TOTAL ASSETS		**1,992,639**	**2,141,747**	**1,848,543**	**1,951,395**
EQUITY AND LIABILITIES					
Equity					
Share capital	27(a)	97,627	97,627	97,627	97,627
Share premium	27(b)	2,554	2,554	2,554	2,554
Other reserves	28	38,380	72,855	69,073	104,210
Retained earnings		1,300,829	1,346,460	1,207,117	1,233,050
Total equity		1,439,390	1,519,496	1,376,371	1,437,441
Non-current liability					
Lease liability	29	6,556	-	6,556	-
Current liabilities					
Lease liability	29	885	-	885	-
Tax payable	24	183	-	-	-
Bank overdraft	26	-	40,297	-	40,297
Trade and other payables	30	545,625	581,954	464,731	473,657
Total current liabilities		546,693	622,251	465,616	513,954
TOTAL EQUITY AND LIABILITIES		**1,992,639**	**2,141,747**	**1,848,543**	**1,951,395**

The financial statements on pages 60 to 126 were approved and authorised for issue by the Board of Directors on 20 April 2020.

Robert Mbugua
Chairman

Marion Mwangi
Managing Director

The notes set out on pages 67 to 126 form an integral part of these financial statements.

GROUP STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2019

	Share capital KShs'000	Share premium KShs'000	Fair value reserve KShs'000	Foreign currency translation reserve KShs'000	Retained earnings KShs'000	Total equity KShs'000
Year ended 31 December 2019						
Balance at 1 January 2019	97,627	2,554	105,145	(32,290)	1,346,460	1,519,496
Total comprehensive income						
Profit for the year	-	-	-	-	55,901	55,901
Other comprehensive income, net of tax						
Foreign currency translation differences	-	-	-	662	-	662
Change in equity and debt investments	-	-	(30,214)	-	-	(30,214)
Deferred tax on equity and debt investments	-	-	(4,923)	-	-	(4,923)
Total other comprehensive income	**-**	**-**	**(35,137)**	**662**	**-**	**(34,475)**
Total comprehensive income for the year	**-**	**-**	**(35,137)**	**662**	**55,901**	**21,426**
Transactions with owners, recognised directly in equity						
Dividends to equity holders						
- Final for 2018 paid	-	-	-	-	(55,647)	(55,647)
- Interim for 2019 paid	-	-	-	-	(45,885)	(45,885)
Balance at 31 December 2019	**97,627**	**2,554**	**70,008**	**(31,628)**	**1,300,829**	**1,439,390**

The notes set out on pages 67 to 126 form an integral part of these financial statements.

GROUP STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2018 (Continued)

	Share capital KShs'000	Share premium KShs'000	Fair value reserve KShs'000	Foreign currency translation reserve KShs'000	Retained earnings KShs'000	Total equity KShs'000
Year ended 31 December 2018						
Balance at 1 January 2018	97,627	2,554	136,585	(30,471)	1,385,344	1,591,639
Total comprehensive income						
Profit for the year	-	-	-	-	65,577	65,577
Other comprehensive income, net of tax						
Foreign currency translation differences	-	-	-	(1,819)	-	(1,819)
Change in equity and debt investments	-	-	(31,445)	-	-	(31,445)
Deferred tax on equity and debt investments	-	-	5	-	-	5
Total other comprehensive income	**-**	**-**	**(31,440)**	**(1,819)**	**-**	**(33,259)**
Total comprehensive income for the year	**-**	**-**	**(31,440)**	**(1,819)**	**65,577**	**32,318**
Transactions with owners, recognised directly in equity						
Dividends to equity holders						
- Final for 2017 paid	-	-	-	-	(58,576)	(58,576)
- Interim for 2018 paid	-	-	-	-	(45,885)	(45,885)
Balance at 31 December 2018	**97,627**	**2,554**	**105,145**	**(32,290)**	**1,346,460**	**1,519,496**

The notes set out on pages 67 to 126 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2019

	Share capital KShs'000	Share premium KShs'000	Fair value reserve KShs'000	Retained earnings KShs'000	Total equity KShs'000
Year ended 31 December 2019					
Balance at 1 January 2019	97,627	2,554	104,210	1,233,050	1,437,441
Total comprehensive income					
Profit for the year	-	-	-	75,599	75,599
Other comprehensive income, net of tax					
Change in equity and debt investments	-	-	(30,214)	-	(30,214)
Deferred tax on equity and debt investments	-	-	(4,923)	-	(4,923)
Total other comprehensive income	**-**	**-**	**(35,137)**	**-**	**(35,137)**
Total comprehensive income for the year	**-**	**-**	**(35,137)**	**75,599**	**40,462**
Transactions with owners, recognised directly in equity					
Dividends:					
- Final for 2018 paid	-	-	-	(55,647)	(55,647)
- Interim for 2019 paid	-	-	-	(45,885)	(45,885)
Balance at 31 December 2019	**97,627**	**2,554**	**69,073**	**1,207,117**	**1,376,371**

The notes set out on pages 67 to 126 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2018 (Continued)

	Share capital KShs'000	Share premium KShs'000	Fair value reserve KShs'000	Retained earnings KShs'000	Total equity KShs'000
Year ended 31 December 2018					
Balance at 1 January 2018	97,627	2,554	135,649	1,235,755	1,471,585
Total comprehensive income					
Profit for the year	-	-	-	101,756	101,756
Other comprehensive income, net of tax					
Change in equity and debt investments	-	-	(31,444)	-	(31,444)
Deferred tax on equity and debt investments	-	-	5	-	5
Total other comprehensive income	**-**	**-**	**(31,439)**	**-**	**(31,439)**
Total comprehensive income for the year	**-**	**-**	**(31,439)**	**101,756**	**(70,317)**
Transactions with owners, recognised directly in equity					
Dividends:					
- Final for 2017 paid	-	-	-	(58,576)	(58,576)
- Interim for 2018 paid	-	-	-	(45,885)	(45,885)
Balance at 31 December 2018	**97,627**	**2,554**	**104,210**	**1,233,050**	**1,437,441**

The notes set out on pages 67 to 126 form an integral part of these financial statements.

GROUP AND COMPANY STATEMENTS OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2019

		GROUP		COMPANY	
	Note	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Cash flows from operating activities:					
Cash generated from operating activities	31	39,905	45,742	65,503	101,371
Tax paid	24	(37,191)	(41,689)	(35,466)	(38,963)
Net cash from operating activities		**2,714**	**4,053**	**30,037**	**62,408**
Cash flows from investing activities:					
Purchase of property, plant and equipment	15	(83,500)	(73,503)	(102,098)	(84,260)
Proceeds from disposal of equipment		2,197	3,699	2,197	3,421
Net proceeds on debt investments		146,885	47,768	147,192	54,605
Interest received		41,390	61,912	36,969	60,111
Dividends received	10(a)	10,395	10,395	10,395	10,395
Net cash from investing activities:		**117,367**	**50,271**	**94,655**	**44,272**
Cash flows from financing activities					
Payment of lease liabilities		(1,000)	-	(1,000)	-
Dividends paid		(101,532)	(104,461)	(101,532)	(104,461)
Net cash used in financing activities		**(102,532)**	**(104,461)**	**(102,532)**	**(104,461)**
Increase/(decrease) in cash and cash equivalents		**17,549**	**(50,137)**	**22,160**	**2,219**
Movement in cash and cash equivalents					
At the beginning of year		20,334	73,389	(3,787)	(6,006)
Increase/(decrease) in cash and cash equivalents		17,549	(50,137)	22,160	2,219
Effects of exchange rate changes on foreign cash and cash equivalents		97	(2,918)	-	-
At the end of year	**26**	**37,980**	**20,334**	**18,373**	**(3,787)**

The notes set out on pages 67 to 126 form an integral part of these financial statements.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019

1 Reporting entity

The Company is incorporated as a limited liability company under the Kenyan Companies Act, 2015 and is domiciled in Kenya. Its registered address is at Kitui Road, PO Box 18010 – 00500 Nairobi Industrial Area. The consolidated financial statements of the Group as at and for the year ended 31 December 2019 comprise the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities"). The Group primarily is involved in the manufacture and sale of industrial and medical gases and welding products.

The Company's shares are listed on the Nairobi Securities Exchange (NSE).

The ultimate holding company of BOC Kenya Plc is Linde Plc, which is an Irish-domiciled multinational chemical company formed by the merger of Linde AG of Germany (founded in 1879) and Praxair (founded in 1907 as Linde Air Products Company) of the United States.

2 Basis of preparation

(a) Statement of compliance

The consolidated and separate financial statements (the 'financial statements') have been prepared in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Companies Act, 2015.

For Kenyan Companies Act, 2015 reporting purposes, the balance sheet is represented in these financial statements by the statement of financial position and the profit and loss account by the statement of profit or loss and other comprehensive income.

(b) Basis of measurement

The financial statements are prepared under the historical cost basis except for financial assets which are measured at Fair Value through Other Comprehensive Income (FVOCI).

(c) Use of estimates and judgements

The preparation of financial statements in conformity with IFRSs requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent liabilities at the date of financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the Directors' best knowledge of current events, actual results may ultimately differ from those estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to the accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of revision and future periods if the revision affects both current and future periods.

In particular, information about significant areas of estimation and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 5 – Critical accounting estimates and judgements.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

2 Basis of preparation (continued)

(d) Functional and presentation currency

These financial statements are presented in Kenya Shillings, which is the Company's functional currency. Except where otherwise indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

3 Changes in significant accounting policies

(a) IFRS 16 Leases

The Group applied IFRS 16 using the modified retrospective approach under which, the comparative information presented for 2018 is not restated – i.e. it is presented, as previously reported, under IAS 17 and related interpretations. The details of the changes in accounting policies are disclosed below. Additionally, the disclosure requirements in IFRS 16 have not generally been applied to comparative information.

(i) Definition of a lease

Previously, the Group determined at contract inception whether an arrangement is or contains a lease under IFRIC 4. Determining whether an arrangement contains a Lease. The Group now assesses whether a contract is or contains a lease based on the definition of a lease, as explained in Note 3 (b).

On transition to IFRS 16, the Group elected to apply the practical expedient to grandfather the assessment of which transactions are leases. The Group applied IFRS 16 only to contracts that were previously identified as leases. Contracts that were not identified as leases under IAS 17 and IFRIC 4 were not reassessed for whether there is a lease under IFRS 16.

(ii) As a Lessee

As a lessee, the Group leases some branch and office premises and IT equipment. The Group previously classified these leases as operating leases under IAS 17 based on its assessment of whether the lease transferred substantially all of the risks and rewards incidental to ownership of the underlying asset to The Group. Under IFRS 16, the Group recognises right-of-use assets and lease liabilities for leases of branch and office premises – i.e. these leases are on-balance sheet.

Further, the Group has not entered into any new leases during the year ended 31 December 2019, other than one lease of low-value, an office copier/printer/scanner.

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices.

However, for leases of branches and office premises the Group has elected to separate non-lease components and account for the lease components as a single lease component.

On transition, for these leases, lease liabilities were measured at the present value of the remaining lease payments, discounted at the Group's incremental borrowing rate as at 1 January 2019.

Right-of-use assets are measured at their carrying amount as if IFRS 16 had been applied since the commencement date, discounted using the lessee's incremental borrowing rate at the date of initial application.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

3 Changes in significant accounting policies (continued)

The Group used a number of practical expedients when applying IFRS 16 to leases previously classified as operating leases under IAS 17. In particular, the Group: relied on its assessment of whether leases are onerous under IAS 37 Provisions, Contingent Liabilities and Contingent Assets immediately before the date of initial application as an alternative to performing an impairment review;

— did not recognise right-of-use assets and liabilities for leases for which the lease term ends within 12 months of the date of initial application;
— did not recognise right-of-use assets and liabilities for leases of low-value assets (i.e. IT equipment);
— excluded initial direct costs from measuring the right-of-use asset at the date of initial application; and,
— used hindsight when determining the lease term.

At commencement or on modification of a contract that contains a lease component, the Group allocates consideration in the contract to each lease component on the basis of its relative stand-alone price. However, for leases of branches and office premises The Group has elected to separate non-lease components from the space rental payment obligations.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, The Group's incremental borrowing rate. Generally, The Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

— fixed payments, including in-substance fixed payments;
— variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
— amounts expected to be payable under a residual value guarantee; and
— the exercise price under a purchase option that The Group is reasonably certain to exercise, lease payments in an optional renewal period if The Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless The Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

3 Changes in significant accounting policies (continued)

(ii) As a Lessee (continued)

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets and lease liabilities as separate line items on the statement of financial position.

(iii) Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including leases of IT equipment. the Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(iv) As a lessor

The Group has not leased out any property and equipment.

Policy applicable before 1 January 2019

For contracts entered into before 1 January 2019, the Group determined whether the arrangement was or contained a lease based on the assessment of whether:

- fulfilment of the arrangement was dependent on the use of a specific asset or assets; and,
- the arrangement had conveyed a right to use the asset.

(v) Impact on financial statement - Impact on transition

On transition to IFRS 16, the Group recognised additional right-of-use assets and additional lease liabilities. The impact on transition is summarised below.

	1 January 2019 KShs'000
Right-of-use asset presented (Note 16)	7,470

When measuring lease liabilities for leases that were classified as operating leases, the Group discounted lease payments using its incremental borrowing rate at 1 January 2019. The weighted-average rate applied is 13% for Kenya Shillings (Kshs) denominated leases.

	1 January 2019 KShs'000
Operating lease commitment at 31 December 2018 as disclosed under IAS 17 in the Group's financial statements (Note 34)	30,000
Discounted using the incremental borrowing rate at 1 January 2019	7,470
Lease liabilities recognised at 1 January 2019	7,470

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements and have been applied consistently by Group entities.

(a) Basis of consolidation

(i) Subsidiaries
Subsidiaries are all entities over which the Group has control. Control exists when the Company is exposed to or has rights to variable returns from its involvement with the investee and has the ability to influence those returns through its power over the investee.

The investment in subsidiaries is recognised at cost, less impairment in the separate financial statements.

(ii) Transactions eliminated on consolidation
Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated in preparing the consolidated financial statements. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset.

(b) Foreign currency

(i) Transactions and balances in Group entities
Transactions in foreign currencies are translated to the respective functional currencies of the Group entities at the exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date.

The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in foreign currency translated at the exchange rate at the end of the year.

Non-monetary items that are measured on historical cost basis in a foreign currency are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are generally recognised in profit or loss. However, foreign currency differences arising from retranslation of equity investments are recognised in other comprehensive income.

(ii) Foreign operations
The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

i. Assets and liabilities for each Group entity are translated at the closing rate at the reporting date;

ii. Income and expenses are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and

iii. All resulting exchange differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(b) Foreign currency (continued)
(ii) Foreign operations (continued)

When a foreign operation is sold, exchange differences recognised in other comprehensive income are reclassified to profit or loss as part of the gain or loss on sale. Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

(c) Revenue recognition

Revenue represents the fair value of the consideration receivable for sale of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts and after eliminating sales within the Group.

i. Revenue is measured based on the consideration specified in a contract with a customer. The Group recognizes revenue when it transfers control over a good or service to a customer.

ii. The Company follows the 5-step model of IFRS 15 (Revenue from contracts with customers) to determine how much revenue and at what time, or over which period of time, it will recognize in respect of services. The five revenue recognition steps are:

— Identification of contracts with customers
— Identification of the separate performance obligations
— Determination of the transaction price
— Allocation of the transaction price
— Recognition of revenue when a performance obligation is satisfied

Revenue from contracts with customers is recognised over time based on the cost-to-cost method. The related costs are recognised in profit or loss when they are incurred. Advances received are included in contract liabilities.

(d) Finance income and finance costs

Finance income comprises interest income on funds invested (including available-for-sale financial assets), dividend income, gains on the disposal of available-for-sale financial assets. Interest income is recognised as it accrues in profit or loss, using the effective interest method. Dividend income is recognised in profit or loss on the date that the Group's right to receive payment is established, which in the case of quoted securities is the ex-dividend date.

Finance costs comprise interest expense on borrowings and unwinding of the discount on provisions. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method.

Foreign currency gains and losses are reported on a gross basis as either finance income or finance cost.

(e) Income tax

Income tax expense is the aggregate of the charge to profit or loss in respect of current tax and deferred tax. Current tax is the amount of income tax payable or receivable on taxable profit or loss for the period determined in accordance with the relevant tax legislation, using the tax rates enacted or substantively enacted at the reporting date.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(e) Income tax (continued)

Deferred tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

However, if the deferred tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss, it is not recognised. In addition, deferred tax is not recognised for taxable temporary differences arising on initial recognition of goodwill.

Deferred tax is determined using tax rates enacted or substantively enacted at the reporting date and are expected to apply when the related temporary differences reverse.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

A deferred tax asset and liability are offset if there is a legally enforceable right to offset current tax liabilities and assets and they relate to taxes levied by the same tax authority on the same taxable entity or on different tax entities but they intend to settle current tax liabilities and assets on a net basis or other tax assets and liabilities will be realised simultaneously.

(f) Property, plant and equipment

All items of property, plant and equipment are measured at historical cost less accumulated depreciation and accumulated impairment losses.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

Items of property, plant and equipment are depreciated from the date they are available for use or, in respect of self-constructed assets, from the date that the asset is completed and ready for use. Depreciation is recognised in profit or loss on a straight-line basis to write down the cost of each asset to residual values over their estimated useful life as follows:

Buildings	40 years
Plant and machinery	5 - 20 years
Cylinders	15 - 25 years
Motor vehicles	5 - 10 years
Furniture and fixtures	4 - 10 years
Computer programs, computers and related equipment	3 – 5 years
Right of use assets	Over the remaining period of the lease

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(f) Property, plant and equipment (continued)

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Capital work in progress represents assets that are under construction or that are not immediately available for use and is not depreciated but is reviewed for impairment.

Gains or losses on disposal of property, plant and equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) are recognised in profit or loss.

(g) Intangible assets

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised to their residual values over their estimated useful lives (three to five years).

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred.

Costs that are directly associated with the production of identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets.

Direct costs include the software development employee costs and an appropriate portion of relevant overheads. Computer software development costs recognised as assets are amortised to their residual values over their estimated useful lives (not exceeding three years).

(h) Inventories

Inventories are measured at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other related direct costs and production overheads (based on normal operating activities), but excludes interest expense. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses. If the purchase or production cost is higher than the net realisable value, inventories are written down to the net realisable value.

(i) Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less, and for the purposes of the statement of cash flows, bank overdrafts.

(j) Financial instruments

Financial instruments include balances with banks, trade and other receivables, trade and other liabilities, inter-company balances, equity and debt investments and loans and borrowings.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(j) Financial instruments (continued)

(i) Recognition and measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at Fair Value through Profit and Loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified as measured at: amortised cost; Fair Value through Other Comprehensive Income (FVOCI) – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

— it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
— its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Group and Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

— the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
— how the performance of the portfolio is evaluated and reported to the Group's management;
— the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
— how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
— the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group and Company's continuing recognition of the assets.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(j) Financial instruments (continued)
(ii) Classification and subsequent measurement (continued)

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities
Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(iii) Derecognition

Financial assets
The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Company enters into transactions whereby it transfers assets recognised in its statement of financial position

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(j) Financial instruments (continued)
(iii) Derecognition (continued)

but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial liabilities
The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

(iv) Offsetting
Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(k) Impairment

Non-derivative financial assets

Financial instruments and contract assets
The Group and Company recognises loss allowances for Expected Credit Losses (ECLs) on financial assets measured at amortised cost. The Group and Company measures loss allowances at an amount equal to lifetime ECLs, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group and Company's historical experience and informed credit assessment and including forward-looking information.

The Group and Company assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due.

The Group and Company considers a financial asset to be in default when:

— the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
— the financial asset is more than 365 days past due.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(k) Impairment (continued)
Non-derivative financial assets (continued)

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired.

A financial asset is ‘credit-impaired’ when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

— significant financial difficulty of the borrower or issuer;
— a breach of contract such as a default or being more than 365 days past due;
— the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
— it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
— the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Company has a policy of writing off the gross carrying amount when the financial asset is 365 days past due based on historical experience of recoveries of similar assets.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(k) Impairment (continued)
Write-off (continued)

The Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group and Company's procedures for recovery of amounts due.

Non-financial assets
The carrying amounts of the Company's non-financial assets other than inventories and deferred tax are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the assets' recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro-rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset

(l) Employee benefits

(i) Retirement benefit obligations
The Group operates a defined contribution scheme for all its employees. Contributions to the defined contribution plan are recognised in profit or loss as incurred and presented as an employee benefit expense. Any difference between the amount recognised in profit or loss and the contributions payable is recorded in the statement of financial position under other receivables or other payables.

(ii) Termination benefits
Termination benefits are recognised as an expense at the earlier of the following dates:

— When the Group can no longer withdraw the offer; and
— When the Group recognises costs for a restructuring that is within the scope of IAS 37 and involves the payment of termination benefits.

(iii) Other Short-term employee benefits
Short term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(m) Earnings per share

The Group presents basic and diluted Earnings Per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(m) Earnings per share (continued)

the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

(n) Dividends

Dividends payable to the Company's shareholders are recognised as a liability in the period in which they are declared.

(o) Related party transactions

The Group discloses the nature, volume and amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the Directors, executive officers and Group or related companies.

(p) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the management team who make decisions (under supervision of the Board of Directors) about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

(q) New standards, amendments and interpretations effective and adopted during the year

The Company has adopted the following new standards and amendments during the year ended 31 December 2019, including consequential amendments to other standards with the date of initial application by the Company being 1 January 2019. The nature and effects of the changes are as explained herein.

New standard or amendments	Effective for annual periods beginning on or after
IFRS 16 Leases	1 January 2019
IFRIC 23 Uncertainty over income tax treatments	1 January 2019
IFRS 9 Prepayment Features with Negative Compensation	1 January 2019
IAS 28 Long-term Interests in Associates and Joint Ventures	1 January 2019
Annual improvements cycle (2015-2017)	1 January 2019
IAS 19 Plan Amendment, Curtailment or Settlement (Amendments to IAS 19)	1 January 2019

IFRS 16: Leases
On 13 January 2016 the IASB issued IFRS 16 Leases, completing the IASB's project to improve the financial reporting of leases. IFRS 16 replaces the previous leases standard, IAS 17 Leases, and related interpretations.

The Group's accounting policy on IFRS is presented in transition clauses on Note 3 (a).

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(q) New standards, amendments and interpretations effective and adopted during the year (continued)

IFRIC 23 Clarification on accounting for Income tax exposures

IFRIC 23 clarifies the accounting for income tax treatments that have yet to be accepted by tax authorities, whilst also aiming to enhance transparency.

IFRIC 23 explains how to recognise and measure deferred and current income tax assets and liabilities where there is uncertainty over a tax treatment.

An uncertain tax treatment is any tax treatment applied by an entity where there is uncertainty over whether that treatment will be accepted by the tax authority.

If an entity concludes that it is probable that the tax authority will accept an uncertain tax treatment that has been taken or is expected to be taken on a tax return, it should determine its accounting for income taxes consistently with that tax treatment. If an entity concludes that it is not probable that the treatment will be accepted, it should reflect the effect of the uncertainty in its income tax accounting in the period in which that determination is made. Uncertainty is reflected in the overall measurement of tax and separate provision is not allowed.

The entity is required to measure the impact of the uncertainty using the method that best predicts the resolution of the uncertainty (that is, the entity should use either the most likely amount method or the expected value method when measuring an uncertainty).

The entity will also need to provide disclosures, under existing disclosure requirements, about

(a) judgments made;
(b) assumptions and other estimates used; and
(c) potential impact of uncertainties not reflected.

The new Standard is effective for annual periods beginning on or after 1 January 2019.

The adoption of these amendments did not have an impact on the financial statements of The Company.

Prepayment Features with Negative Compensation (Amendments to IFRS 9)

The amendments clarify that financial assets containing prepayment features with negative compensation can now be measured at amortised cost or at fair value through other comprehensive income (FVOCI) if they meet the other relevant requirements of IFRS 9.

The amendments apply for annual periods beginning on or after 1 January 2019 with retrospective application, early adoption is permitted.

The adoption of these amendments did not have an impact on the financial statements of The Company.

Long-term Interests in Associates and Joint Ventures (Amendment to IAS 28)

The amendments clarify that an entity applies IFRS 9 to long-term interests in an associate and joint venture that form part of the net investment in the associate or joint venture but to which the equity method is not applied.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(q) New standards, amendments and interpretations effective and adopted during the year (continued)

The amendments apply for annual periods beginning on or after 1 January 2019.

The adoption of these standards did not have an impact on the financial statements of The Company.

Annual improvement cycle (2015 – 2017) – various standards

Standards	Amendments
IFRS 3 Business Combinations and IFRS 11 Joint Arrangements	Clarifies how a Company accounts for increasing its interest in a joint operation that meets the definition of a business: — If a party maintains (or obtains) joint control, then the previously held interest is not remeasured. — If a party obtains control, then the transaction is a business combination achieved in stages and the acquiring party remeasures the previously held interest at fair value.
IAS 12 Income taxes	Clarifies that all income tax consequences of dividends (including payments on financial instruments classified as equity) are recognised consistently with the transactions that generated the distributable profits – i.e. in profit or loss, OCI or equity
IAS 23 Borrowing costs	Clarifies that the general borrowings pool used to calculate eligible borrowing costs excludes only borrowings that specifically finance qualifying assets that are still under development or construction. Borrowings that were intended to specifically finance qualifying assets that are now ready for their intended use or sale – or any non-qualifying assets – are included in that general pool. As the costs of retrospective application might outweigh the benefits, the changes are applied prospectively to borrowing costs incurred on or after the date an entity adopts the amendments.

The adoption of these standards did not have a material impact on the amounts and disclosures of The Company's financial statements.

IAS 19 Plan Amendment, Curtailment or Settlement (Amendments to IAS 19)

The amendments clarify that:
- on amendment, curtailment or settlement of a defined benefit plan, a Company now uses updated actuarial assumptions to determine its current service cost and net interest for the period; and
- the effect of the asset ceiling is disregarded when calculating the gain or loss on any settlement of the plan and is dealt with separately in other comprehensive income (OCI).

Consistent with the calculation of a gain or loss on a plan amendment, entities will now use updated actuarial assumptions to determine the current service cost and net interest for the period. Previously, entities would not have updated the calculation of these costs until the year-end.

Further, if a defined benefit plan is settled, any asset ceiling would be disregarded when determining the plan assets as part of the calculation of gain or loss on settlement.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(q) New standards, amendments and interpretations effective and adopted during the year (continued)

IAS 19 Plan Amendment, Curtailment or Settlement (Amendments to IAS 19) (continued)

The amendments apply for plan amendments, curtailments or settlements that occur on or after 1 January 2019, or the date on which the amendments are first applied.

The adoption of this standard will not have an impact on the financial statements of The Company.

(r) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2019

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2019 and have not been applied in preparing these financial statements.

The Company does not plan to adopt these standards early. These are summarised below;

Standard	Effective Date
IFRS 3 Definition of a Business	1 January 2020
Amendments to references to the Conceptual Framework in IFRS Standards	1 January 2020
Amendments to IAS 1 and IAS 8 Definition of Material	1 January 2020
IFRS 17 Insurance contracts	1 January 2023
Sale or Contribution of Assets between an Investor and its Associate or Company (Amendments to IFRS 10 and IAS 28).	To be determined

All standards and interpretations will be adopted at their effective date (except for those standards and interpretations that are not applicable to the entity).

The amendments are effective for annual reporting periods beginning on or after 1 January 2020 with earlier application permitted.

The adoption of these amendments is not expected to affect the amounts and disclosures of The Group's financial statements.

IFRS 3 Definition of a Business

With a broad business definition, determining whether a transaction results in an asset or a business acquisition has long been a challenging but important area of judgement. These amendments to IFRS 3 Business Combinations seek to clarify this matter as below however complexities still remain.

Optional concentration test

The amendments include an election to use a concentration test. This is a simplified assessment that results in an asset acquisition if substantially all of the fair value of the gross assets is concentrated in a single identifiable asset or a Company of similar identifiable assets.

Substantive process

If an entity chooses not to apply the concentration test, or the test is failed, then the assessment focuses on the existence of a substantive process.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(r) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2019 (continued)
IFRS 3 Definition of a Business (continued)

The definition of a business is now narrower and could result in fewer business combinations being recognised.

The amendment applies to businesses acquired in annual reporting periods beginning on or after 1 January 2020. Earlier application is permitted.

The adoption of this standard will not have an impact on the financial statements of The Group.

Amendments to References to the Conceptual Framework in IFRS Standards

This amendment sets out amendments to IFRS Standards (Standards), their accompanying documents and IFRS practice statements to reflect the issue of the International Accounting Standards Board (IASB) revised Conceptual Framework for Financial Reporting in 2018 (2018 Conceptual Framework).

Some Standards, their accompanying documents and IFRS practice statements contain references to, or quotations from, the IASC's Framework for the Preparation and Presentation of Financial Statements adopted by the IASB in 2001 (Framework) or the Conceptual Framework for Financial Reporting issued in 2010.

Amendments to References to the Conceptual Framework in IFRS Standards updates those references and quotations so that they refer to the 2018 Conceptual Framework, and other amendments to clarify which version of the Conceptual Framework is referredto in particular documents.

These amendments are based on proposals in the Exposure Draft Updating References to the Conceptual Framework, published in 2015, and amend Standards, their accompanying documents and IFRS practice statements that will be effective for annual reporting periods beginning on or after 1 January 2020.

The adoption of these changes will not affect the amounts and disclosures of The Company's financial statements.

IAS 1 and IAS 8 Definition of Material

The amendment refines the definition of Material to make it easier to understand and aligning the definition across IFRS Standards and the Conceptual Framework.

The amendment includes the concept of 'obscuring' to the definition, alongside the existing references to 'omitting' and 'misstating'. Additionally, the amendments also adds the increased threshold of 'could influence' to 'could reasonably be expected to influence' as below.

"Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity."

However, the amendment has also removed the definition of material omissions or misstatements from IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors.

The amendments are effective from 1 January 2020 but may be applied earlier.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(r) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2019 (continued)
IAS 1 and IAS 8 Definition of Material (continued)

The Company is assessing the potential impact on its financial statements resulting from the application of the refined definition of materiality

IFRS 17 Insurance Contracts

IFRS 17 Insurance Contracts sets out the requirements that an entity should apply in reporting information about insurance contracts it issues and reinsurance contracts it holds. An entity shall apply IFRS 17 Insurance Contracts to:

(a) insurance contracts, including reinsurance contracts, it issues;
(b) reinsurance contracts it holds; and
(c) investment contracts with discretionary participation features it issues, provided the entity also issues insurance contracts.

IFRS 17 requires an entity that issues insurance contracts to report them on the statement of financial position as the total of:

(a) the fulfilment cash flows—the current estimates of amounts that the entity expects to collect from premiums and pay out for claims, benefits and expenses, including an adjustment for the timing and risk of those amounts; and
(b) the contractual service margin—the expected profit for providing insurance coverage. The expected profit for providing insurance coverage is recognised in profit or loss over time as the insurance coverage is provided.

IFRS 17 requires an entity to recognise profits as it delivers insurance services, rather than when it receives premiums, as well as to provide information about insurance contract profits that the Company expects to recognise in the future. IFRS 17 requires an entity to distinguish between contracts expected to be profit making and contracts expected to be loss making.

Any expected losses arising from loss-making, or onerous, contracts are accounted for in profit or loss as soon as the Company determines that losses are expected. IFRS 17 requires the entity to update the fulfilment cash flows at each reporting date, using current estimates of the amount, timing and uncertainty of cash flows and of discount rates. The entity:

(a) accounts for changes to estimates of future cash flows from one reporting date to another either as an amount in profit or loss or as an adjustment to the expected profit for providing insurance coverage, depending on the type of change and the reason for it; and
(b) chooses where to present the effects of some changes in discount rates—either in profit or loss or in other comprehensive income.

IFRS 17 also requires disclosures to enable users of financial statements to understand the amounts recognised in the entity's statement of financial position and statement of profit or loss and other comprehensive income, and to assess the risks the Company faces from issuing insurance contracts.

IFRS 17 replaces IFRS 4 Insurance Contracts. IFRS 17 is effective for financial periods commencing on or after

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

4 Significant accounting policies (continued)

(r) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2019 (continued)
IFRS 17 Insurance Contracts (continued)

1 January 2023. An entity shall apply the standard retrospectively unless impracticable. A Company can choose to apply IFRS 17 before that date, but only if it also applies IFRS 9 Financial Instruments and IFRS 15 Revenue from Contracts with Customers.

The adoption of these changes will not affect the amounts and disclosures of The Company's financial statements.

Sale or Contribution of Assets between an Investor and its Associate or Company (Amendments to IFRS 10 and IAS 28)

The amendments require the full gain to be recognised when assets transferred between an investor and its associate or Company meet the definition of a 'business' under IFRS 3 Business Combinations. Where the assets transferred do not meet the definition of a business, a partial gain to the extent of unrelated investors' interests in the associate or Company is recognised. The definition of a business is key to determining the extent of the gain to be recognised.

The effective date for these changes has now been postponed until the completion of a broader review.

The adoption of these changes will not affect the amounts and disclosures of The Company's financial statements

(s) Comparatives

Where necessary, comparative figures have been adjusted to conform to presentation in the current year and changes in accounting policy.

5 Critical accounting estimates and judgements

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(a) Critical accounting estimates and assumptions

(i) Fair value estimation
The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These include the use of recent transactions, reference to other instruments that are substantially the same, discounted cash flow analysis, and option pricing models refined to reflect the issuer's specific circumstances.

(ii) Income taxes
The Group is subject to income taxes in various jurisdictions. Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business.

The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

5 Critical accounting estimates and judgements (continued)

(a) Critical accounting estimates and assumptions (continued)

recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(iii) Expected Credit Losses on Trade receivables
The Group assesses its trade receivables for impairment at each reporting date. In determining whether an impairment loss should be recorded in the profit or loss account, the Group makes judgements as to whether there is observable data indicating a measurable decrease in the estimated

In determining the Expected Credit Loss (ECL), the Group first determines the Historical Loss Rate (HLR) of a financial asset. The HLR is then evaluated and adjusted for expected future events and circumstances to determine the ECL that will be applied at each date.

(iv) Inventories
The Group assesses impairment for inventories at each reporting date. In determining whether inventories are impaired, the Group assesses the age at which inventories are held in the store in order to make an assessment of the impairment loss.

(v) Property, plant and equipment
Critical estimates are made by the Directors in determining depreciation rates for property, plant and equipment.

(b) Critical judgements in applying the Group's accounting policies

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the financial statements is included in the following notes:

— Note 3(a): Definition of leases under IFRS 16 and the measurement of the ensuing lease liabilities
— Note 4(k)(ii): Determining the classification of financial assets

6 Financial risk management

The Group has exposure to the following risks from its use of financial instruments:

— Credit risk
— Liquidity risk
— Market risk

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Group Board Audit Committee oversees how management monitors compliance with the Group's risk

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

The Group Board Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Board Audit Committee.

(a) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers and investment securities.

Trade and other receivables
The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer.
The Group Board Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Board Audit Committee.

The Risk Management Committee has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. The Group's review includes external ratings, when available, and in some cases references. Credit limits are established for each customer, which represents the maximum open amount without requiring approval from the Risk Management Committee. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

The Group establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss component established for Groups of similar assets in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data of payment statistics for similar financial assets.

Investments
The Group limits its exposure to credit risk by only investing in liquid securities and only with counterparties that have a good credit rating. Given the good credit ratings, management does not expect any counterparty to fail to meet its obligations.

Write-off policy
Where it is considered that there is no realistic prospect of recovering an element of an account against which an impairment allowance has been raised, then that amount will be written off. The determination is reached after considering information such as the occurrence of significant changes in the customer's position such that the customer can no longer pay the obligation. The carrying amount of financial assets represents the maximum

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(a) Credit risk (continued)

Write-off policy (continued)

credit exposure. The maximum exposure to credit risk at the reporting date was:

	2019		2018	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Equity and debt investments	345,258	345,258	482,106	482,106
Term deposits	232,998	151,415	273,151	191,973
Trade and other receivables	335,607	273,977	289,234	271,596
Cash at bank	37,980	18,373	60,631	36,510
	951,843	**789,023**	**1,105,122**	**982,185**

The maximum exposure to credit risk for trade receivables at the reporting date by geographic region was:

	2019		2018	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Kenya	280,012	280,012	207,844	207,844
Uganda	4,589	-	16,364	-
Tanzania	19,000	-	13,673	-
Total (Note 23)	**303,601**	**280,012**	**237,881**	**207,844**

The ageing of trade receivables at the reporting date was:

	2019		2018	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Not past due	120,955	110,384	139,529	132,661
Past due 0-30 days	48,872	48,448	33,527	31,271
Past due 31-90 days	59,926	57,980	38,122	39,857
More than 90 days	182,662	170,195	134,032	105,609
	412,415	387,007	345,210	309,398
Neither past due nor impaired	**120,955**	**110,384**	**139,529**	**132,661**

Management believes that the amounts that are neither past due nor impaired will be collectible in full.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(a) Credit risk (continued)

Write-off policy (continued)

	Impairment Losses			
	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Trade receivables				
Balance at 1 January	107,329	82,756	101,554	69,097
IFRS 9 opening adjustment	-	6,514	-	12,690
Debt written-off	(4,297)	-	-	-
Impairment loss	5,797	18,659	5,441	19,864
Debts recovered	-	(97)	-	(97)
Effect of exchange rates	(15)	(503)	-	-
Balance at 31 December (Note 23)	**108,814**	**107,329**	**106,995**	**101,554**

(b) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

Typically the Group ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

The table below analyses liabilities into relevant maturity groupings based on the remaining period at 31 December 2019 and 2018 to the contractual maturity date.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(b) Liquidity risk (continued)

All figures are in thousands of Kenya shillings (KShs '000)

Group

	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
Liabilities (2019)						
Lease liabilities	-	-	1,000	4,000	23,000	28,000
Trade and other payables	162,247	169,113	214,265	-	-	545,625
Liabilities (2018)						
Bank overdraft	40,297	-	-	-	-	40,297
Trade and other payables	171,043	181,105	229,806	-	-	581,954

Company

	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
Liabilities (2019)						
Lease liabilities	-	-	1,000	4,000	23,000	28,000
Trade and other payables	135,655	143,501	185,575	-	-	464,731
Liabilities (2018)						
Bank overdraft	40,297	-	-	-	-	40,297
Trade and other payables	133,064	142,723	197,870	-	-	473,657

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

(i) Currency risk

The Group is exposed to currency risk on sales and purchases that are denominated in a currency other than the respective functional currencies of Group entities. The currencies in which these transactions primarily are denominated are South African Rand (ZAR), US Dollars (USD) and Great Britain Pound (GBP), Uganda Shillings (UShs) and Tanzania Shillings (TShs).

The Group operates in Kenya, Uganda and Tanzania and its assets and liabilities are carried in the respective local currency. The Group's exposure to foreign currency risk was as follows, based on notional amounts:

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(c) Market risk (continued)

(i) Currency risk (continued)

All figures are in thousands of Kenya shillings (KShs '000)

2019	USD	GBP	Euro	Rand	Total
Group:					
At 31 December 2019					
Assets:					
Trade and other receivables	3,584	185	633	-	4,402
Liabilities:					
Trade and other payables	-	-	-	(19,397)	(19,397)
Net balance sheet position	**3,584**	**185**	**633**	**(19,397)**	**(14,995)**

2019	USD	GBP	Euro	Rand	Total
Company:					
At 31 December 2019					
Assets					
Trade and other receivables	3,423	185	633	-	4,241
Liabilities					
Trade and other payables	-	-	-	(16,754)	(16,754)
Net balance sheet position	**3,423**	**185**	**633**	**(16,754)**	**(12,213)**

2018	USD	GBP	Euro	Rand	Total
Group:					
At 31 December 2018					
Assets:					
Trade and other receivables	-	-	-	-	-
Liabilities:					
Trade and other payables	(599)	(14,435)	(4,251)	(37,651)	(56,936)
Net balance sheet position	**(599)**	**(14,435)**	**(4,251)**	**(37,651)**	**(56,936)**

2018	USD	GBP	Euro	Rand	Total
Company:					
At 31 December 2018					
Assets					
Trade and other receivables	-	-	-	-	-
Liabilities					
Trade and other payables	(469)	(14,435)	(4,251)	(20,484)	(39,639)
Net balance sheet position	**(469)**	**(14,435)**	**(4,251)**	**(20,484)**	**(39,639)**

The following exchange rates were applied in the respective periods:

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(c) Market risk (continued)

(i) Currency risk (continued)

	Annual average rates		Closing rates	
	2019	2018	At 31 December 2019	At 31 December 2018
US Dollar	101.4	101.29	101.35	101.90
Sterling Pound	132.85	135.20	134.36	130.02
South African Rand	7.05	7.66	7.24	7.10
Euro	112.64	119,61	113.64	116.88

Sensitivity analysis

A 10 percent strengthening of the Kenyan Shilling against the following currencies at 31 December 2019 would have increased/(decreased) profit or loss and equity by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remains constant. The analysis has been performed on the same basis as in 2018.

	Profit or loss / equity	
	2019 KShs '000	2018 KShs '000
Group		
As at 31 December		
US Dollar	(358)	60
GBP	(19)	1,443
Euro	(63)	425
Rand	1,940	3,765
Net impact	**1,500**	**5,693**
Company		
As at 31 December		
US Dollar	(342)	47
GBP	(19)	1,443
Euro	(63)	425
Rand	1,675	2,048
Net impact	**1,251**	**3,963**

A 10 percent weakening of the Shilling against the above currencies at 31 December 2019 would have had an equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

(ii) Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(c) Market risk (continued)

interest rates on its financial position and cash flows. The table below summarises the exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Group exposure to interest rate risk is with regards to fluctuation in interest rates in the market which affects the returns on the investments held by the Group.

	Effective interest rate %	On demand KShs'000	Due within 3 months KShs'000	Due within 3 and 12 months KShs'000	Due between 1 and 5 years KShs'000	Over 5 years KShs'000	Non-interest bearing KShs'000	Total KShs'000
Group								
As at 31 December 2019								
ASSETS								
Debt investments	9.63	-	226,458	-	-	-	-	226,458
Equity investment	-	-	-	-	-	-	118,800	118,800
Trade and other receivables	-	-	-	-	-	-	335,607	335,607
Term deposits	6.92	-	232,998	-	-	-	-	232,998
Cash and cash equivalents	-	-	-	-	-	-	37,980	37,980
		-	**459,456**	**-**	**-**	**-**	**524,395**	**951,843**
LIABILITIES								
Bank overdraft	-	-	-	-	-	-	-	-
Trade and other payables	-	-	-	-	-	-	545,625	545'625
As at 31 December 2018								
ASSETS								
Debt investments	11.1		333,606	-	-	-	-	333,606
Equity investment	-	-	-	-	-	-	148,500	148,500
Trade and other receivables	-	-	-	-	-	-	289,234	289,234
Term deposits	8.0	-	273,151	-	-	-	-	273,151
Cash and cash equivalents	-	-	-	-	-	-	60,631	60,631
		-	**606,757**	**-**	**-**	**-**	**498,365**	**1,105,122**
LIABILITIES								
Bank overdraft	13	40,297	-	-	-	-	-	40,297
Trade and other payables		-	-	-	-	-	581,954	581,954

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(c) Market risk (continued)

(ii) Interest rate risk (continued)

	Effective interest rate %	On demand KShs'000	Due within 3 months KShs'000	Due within 3 and 12 months KShs'000	Due between 1 and 5 years KShs'000	Over 5 years KShs'000	Non-interest bearing KShs'000	Total KShs'000
Company								
As at 31 December 2019								
ASSETS								
Debt investments	9.63	-	226,458	-	-	-	-	226,458
Equity investment	-	-	-	-	-	-	118,800	118,800
Trade and other receivables	-	-	-	-	-	-	273,977	273,977
Term deposits	6.92	-	151,415	-	-	-	-	151,415
Cash and cash equivalents	-	-	-	-	-	-	18,373	18,373
		-	**377,873**	**-**	**-**	**-**	**481,494**	**789,023**
LIABILITIES								
Bank overdraft	-	-	-	-	-	-	-	-
Trade and other payables	-	-	-	-	-	-	464,730	464,730
As at 31 December 2018								
ASSETS								
Debt investments	11.1	-	333,606	-	-	-	-	333,606
Equity investment	-	-	-	-	-	-	148,500	148,500
Trade and other receivables	-	-	-	-	-	-	271,596	271,596
Term deposits	9.0	-	191,973	-	-	-	-	191,973
Cash and cash equivalents	-	-	-	-	-	-	36,510	36,510
		-	**525,579**	**-**	**-**	**-**	**456,606**	**982,185**
LIABILITIES								
Bank overdraft		40,297	-	-	-	-	-	40,297
Trade and other payables		-	-	-	-	-	473,657	473,657

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(c) Market risk (continued)

(ii) Interest rate risk (continued)

Sensitivity analysis

An increase of one percentage point in interest rates at the reporting date would have increased/ (decreased) profit or loss and equity by the amounts shown below.

This analysis assumes that all other variables, in particular foreign currency rates, remain constant. This analysis is performed on the same basis for 2018.

Effect in Kenyan Shillings thousands

	Profit or loss/equity			
	Group		Company	
	2019 KShs	2018 KShs	2019 KShs	2018 KShs
Interest bearing assets	3,541	6,498	3,109	5,734

A decrease of one percentage point in interest rates at the reporting date would have had an equal but opposite effect on the profit or loss, on the basis that all other variables remain constant.

(iii) Equity price risk

The Group is exposed to fluctuation in the market price on its equity investment. The fair value of the investment at 31 December 2019 and 31 December 2018 is as follows:

	2019 KShs	2018 KShs
Group and Company		
Equity investment (Note 19)	118,800	148,500

Sensitivity analysis on equity prices

A decrease of 10% in the share prices would have the following effect on the fair value.

Effect in Kenyan Shillings thousands

	Other reserves	
	2019 KShs	2018 KShs
Group and company		
Equity investment	(11,880)	(14,850)

An increase of 10% in the share price would have had an equal but opposite effect on the reserves, on the basis that all other variables remain constant.

6 Financial risk management (continued)

(d) Fair value of financial assets and financial liabilities

The fair values of other financial assets and financial liabilities is the same as the carrying amounts as shown in the statement of financial position due to their short-term nature.

Group	Financial assets at amortised cost KShs '000	Equity and debt investments KShs '000	Other amortised cost KShs '000	Total carrying value KShs '000	Fair value KShs '000
2019					
Financial assets					
Equity and debt investments	-	345,258	-	345,258	345,258
Trade and other receivables	367,615	-	-	367,615	367,615
Term deposits	232,998	-	-	232,998	232,998
Cash and cash equivalents	37,980	-	-	37,980	37,980
	638,593	**345,258**	**-**	**983,851**	**983,851**
Financial liabilities					
Bank overdraft	-	-	-	-	-
Trade and other payables	-	-	545,625	545,625	545,625
2018					
Financial assets					
Equity and debt investments	-	482,106	-	482,106	482,106
Trade and other receivables	289,234	-	-	289,234	289,234
Term deposits	273,151	-	-	273,151	273,151
Cash and cash equivalents	60,631	-	-	60,631	60,631
	623,016	**482,106**	**-**	**1,105,122**	**1,105,122**
Financial liabilities					
Bank overdraft	40,297	-	-	40,297	40,297
Trade and other payables	-	-	581,954	581,954	581,954

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(d) Fair value of financial assets and financial liabilities (continued)

Company	Financial assets at amortised cost KShs '000	Equity and debt investments KShs '000	Other amortised cost KShs '000	Total carrying value KShs '000	Fair value KShs '000
2019					
Financial assets					
Equity and debt investments	-	345,258	-	345,258	345,258
Trade and other receivables	344,321	-	-	344,321	344,321
Term deposits	151,415	-	-	151,415	151,415
Cash and cash equivalents	18,373	-	-	18,373	18,373
	514,109	**345,258**	**-**	**859,367**	**859,367**
Financial liabilities					
Bank overdraft	-	-	-	-	-
Trade and other payables	-	-	464,731	464,731	464,731
2018					
Financial assets					
Equity and debt investments	-	482,106	-	482,106	482,106
Trade and other receivables	271,596	-	-	271,596	271,596
Term deposits	191,973	-	-	191,973	191,973
Cash and cash equivalents	36,510	-	-	36,510	36,510
	500,079	**482,106**	**-**	**982,185**	**982,185**
Financial liabilities					
Bank overdraft	40,297	-	-	40,297	40,297
Trade and other payables	-	-	473,657	473,657	473,657

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(d) Fair value of financial assets and financial liabilities (continued)

Fair value hierarchy

The valuation hierarchy, and types of instruments classified into each level within that hierarchy, is set out below:

	Level 1	Level 2	Level 3
Fair value determined using:	Unadjusted quoted prices in an active market for identical assets and liabilities	Valuation models with directly or indirectly market observable inputs	Valuation models using significant non-market observable inputs
Types of financial assets:	Listed equities	Treasury bills and bonds	None
Types of financial liabilities:	None	None	None

The table below shows the classification of financial instruments held at fair value into the valuation hierarchy set out below as at 31 December 2019:

Group and Company

	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2019:				
Assets				
Available-for-sale financial assets	118,800	226,458	-	345,258
Total assets	**118,800**	**226,458**	**-**	**345,258**

	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2018:				
Assets				
Available-for-sale financial assets	148,500	333,606	-	482,106
Total assets	**148,500**	**333,606**	**-**	**482,106**

Valuation technique and significant observable inputs			
Type	**Valuation technique**	**Significant observable inputs:**	**Interrelationships between the significant observable inputs and fair value measurements**
Treasury bonds	Market comparison technique The valuation model is based on market data derived from Treasury bond prices as listed in the Nairobi Securities Exchange.	Dirty price as per the market.	The estimated fair value will increase/(decrease) if the dirty price per the market increases/(decreases)

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

6 Financial risk management (continued)

(e) Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital, which the Group defines as net operating income divided by total shareholders' equity. The Board of Directors also monitors the level of dividends to ordinary shareholders. Capital comprises all components of equity (i.e. share capital, retained earnings, and other reserves).

There is no externally imposed capital requirement.

There were no changes in the Group's approach to capital management during the year.

7 Segment information

The Group has three reportable segments which are the strategic business units in the following regions. These are Kenya, Tanzania and Uganda.

For each of the strategic business units, the Board reviews internal management reports. Information regarding the results of each reportable segment is described below. Performance is measured based on each segment profit before tax as indicated in the internal management reports that are reviewed by the Board.

	Kenya KShs'000	Tanzania KShs'000	Uganda KShs'000	Elimination KShs'000	Total KShs'000
Year ended 31 December 2019					
Sales	930,610	52,289	8,640	(15,676)	975,863
Operating profit/(loss)	68,900	(23,358)	(495)	916	45,963
Net finance income	39,500	(567)	4,638	-	43,571
Profit/(loss)before income tax	108,400	(23,925)	4,143	916	89,534
Income tax expense	(32,801)	(236)	(596)	-	(33,633)
Profit/(loss) for the year	**75,599**	**(24,161)**	**3,547**	**916**	**55,901**

	Kenya KShs'000	Tanzania KShs'000	Uganda KShs'000	Elimination KShs'000	Total KShs'000
Year ended 31 December 2018					
Sales	913,804	53,396	39,924	(40,581)	966,543
Operating profit/(loss)	79,844	(20,783)	2,905	(12,652)	49,315
Net finance income	67,514	(916)	3,679	-	70,277
Profit/(loss)before income tax	147,358	(21,699)	6,584	(12,652)	119,592
Income tax expense	(45,603)	(6,494)	(1,918)	-	(54,015)
Profit/(loss) for the year	**101,756**	**(28,193)**	**4,666**	**(12,652)**	**65,577**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

7 Segment information (continued)

Other segment items included in the profit or loss are:

	Kenya KShs'000	Tanzania KShs'000	Uganda KShs'000	Total KShs'000
Year ended 31 December 2019				
Depreciation	86,304	12,201	603	99,109
Amortisation of intangible assets	188	-	-	188
Amortisation of operating leases	105	-	-	105
Stock provisions and write-offs	(7,918)	(216)	686	(7,448)
Impairment of trade receivables (Note 6(a)	-	-	-	-

	Kenya KShs'000	Tanzania KShs'000	Uganda KShs'000	Total KShs'000
Year ended 31 December 2018				
Depreciation	78,568	5,320	607	84,495
Amortisation of intangible assets	187	-	-	187
Amortisation of operating leases	105	-	-	105
Stock provisions and write-offs	(1,343)	(1,384)	(628)	(3,355)
Impairment of trade receivables (Note 6(a))	19,864	(1,848)	629	18,449

The segment assets and liabilities at 31 December 2019 and capital expenditure for the period then ended are as follows:

	Kenya KShs'000	Tanzania KShs'000	Uganda KShs'000	Elimination KShs'000	Total KShs'000
Year ended 31 December 2019					
Assets	1,806,153	49,995	113,640	(31,237)	1,938,551
Liabilities	472,172	82,207	22,358	(23,671)	553,066
Capital expenditure:					
Additions to property, plant and equipment	102,098	-	-	(18,598)	83,500

	Kenya KShs'000	Tanzania KShs'000	Uganda KShs'000	Elimination KShs'000	Total KShs'000
Year ended 31 December 2018					
Assets	1,896,063	99,436	122,920	(40,752)	2,077,667
Liabilities	473,658	107,356	35,022	(34,084)	616,036
Capital expenditure:	-	-	-	-	-
Additions to property, plant and equipment	84,260	-	-	(10,757)	73,503

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

7 Segment information (continued)

Segment assets comprise property, plant and equipment, intangible assets, inventories, receivables, debt and equity investment and cash. They exclude current and deferred taxes.

Segment liabilities comprise operating liabilities. They exclude tax and corporate borrowings.

Capital expenditure comprises additions to property, plant and equipment and intangible assets.

8 Revenue

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
Sale of medical and industrial gases	755,210	777,096	740,843	740,588
Equipment, accessories & welding products	84,122	80,111	50,304	53,779
Equipment and facilities rentals	51,530	46,405	51,392	56,506
Service and delivery revenue	85,001	62,931	88,071	62,931
	975,863	**966,543**	**930,610**	**913,804**

9 Other operating income and expenses

(a) Other income

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
Profit on disposal of property, plant and equipment	2,004	2,464	2,004	2,344
Other charges	72	-	72	-
	2,076	**2,464**	**2,076**	**2,344**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

9 Other operating income and expenses (continued)

(b) Expenses by nature comprise:

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Product costs	253,287	219,092	227,575	186,643
Employee benefits and other staff costs	231,931	240,394	225,322	231,911
Electricity costs	145,252	109,077	145,223	109,013
Depreciation - Property, plant and equipment	99,109	84,495	86,304	78,566
Depreciation - Right of use assets	267	-	267	-
Amortisation	293	292	293	292
Management fee	19,501	19,344	18,283	17,478
Vehicle expenses	35,484	41,201	34,210	38,814
Repairs & Maintenance	25,211	52,826	25,132	52,596
Travel and Accommodation	14,610	18,901	13,898	17,145
Security and Cleaning services	17,967	17,167	16,479	16,018
Legal and Professional Fees	34,117	36,695	22,524	29,741
Insurance	6,178	6,633	5,109	5,353
Directors fees	10,470	11,669	10,470	11,669
Other expenses	44,459	45,154	36,422	21,923
Impairment charge/(release) on financial assets:				
Impairment of trade receivables	5,797	18,448	5,441	19,668
Other financial assets	(11,957)	(1,695)	(9,167)	(528)
Net impairment	(6,160)	16,753	(3,726)	19,140
Grand Total	**931,976**	**919,692**	**863,786**	**836,303**
Expenses by function comprise:				
Cost of sales	546,914	486,259	511,673	450,822
Distribution costs	95,268	110,693	92,296	105,295
Selling and administrative expenses	295,954	305,987	263,543	261,046
Impairment charge/(release) on financial assets	(6,160)	16,753	(3,726)	19,140
Grand Total	**931,976**	**919,692**	**863,786**	**836,303**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

9 Other operating income and expenses (continued)

(c) Employee benefit expense

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
The following items are included within staff costs:				
Social security benefits	908	955	168	166
Retirement benefits costs: - defined contribution scheme	15,867	15,471	15,867	15,471

The number of employees at 31 December 2019 was 70 (2018 – 79).

10 Finance income and finance costs

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
(a) Finance income				
Interest income	43,483	63,470	39,061	59,056
Dividend income	10,395	10,395	10,395	10,395
Foreign currency exchange gains	255	-	-	-
Total	**54,133**	**73,865**	**49,456**	**69,451**
(b) Finance costs				
Interest on lease liabilities (Note 3 (a)(v))	971	-	971	-
Interest paid	1,121	1,563	1,121	1,563
Foreign currency exchange loss	8,470	2,025	7,864	374
Total	**10,562**	**3,588**	**9,956**	**1,937**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

11 Profit before taxation

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Profit before taxation is arrived at after charging:				
Repairs and maintenance expenditure on property, plant and equipment	25,211	52,826	25,132	52,596
Directors' remuneration:				
Fees and allowances	10,470	10,960	10,470	10,960
Salaries and short-term benefits	37,476	34,840	37,476	34,840
Provident fund contributions	3,611	2,376	3,611	2,376
Depreciation on PPE	99,109	84,495	86,304	78,566
Impairment of trade receivables	5,797	18,449	5,441	19,668
Amortisation of intangible assets	188	187	188	187
Operating leases charges:				
Low value leases	4,691	5,243	-	1,000
Auditors remuneration	5,609	6,209	4,564	4,764
And after crediting:				
Profit on disposal of property, plant and equipment	2,004	2,464	2,004	2,344

12 Income tax expense

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Current tax expense:				
Current year (Note 24)	19,156	49,973	18,807	42,629
Deferred tax credit/(charge):				
Decrease/(Increase) in deferred tax assets (Note 20)	14,477	4,042	13,994	2,974
Income tax expense	**33,633**	**54,015**	**32,801**	**45,603**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

12 Income tax expense (continued)

The tax on the Group and Company profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
Profit before tax	89,534	119,592	108,400	147,359
Tax calculated at a tax rate of 30%	26,860	35,878	32,520	44,207
Alternative Minimum tax	183	160	-	-
Tax effect of:				
Dividend income taxed at 5%	(2,599)	(2,599)	(2,599)	(2,599)
Expenses not deductible for tax	2,614	7,732	2,880	3,995
Deferred tax not recognised	6,575	12,844	-	-
Income tax expense	**33,633**	**54,015**	**32,801**	**45,603**

13 Earnings per share

Basic earnings per share is calculated by dividing the profit attributable to ordinary shareholders with the weighted average number of ordinary shares outstanding during the year.

There were no potentially dilutive shares outstanding at 31 December 2019 or 31 December 2018. Therefore, the dilutive earnings per share and the calculation thereof equals the basic earnings per share.

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
Net profit attributable to shareholders	55,901	65,577	75,599	101,756
Weighted average number of ordinary shares in issue	19,525	19,525	19,525	19,525
Basic and dilutive earnings per share (KShs)	2.86	3.36	3.87	5.21

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

14 Dividends per share

The Board of Directors does not recommend the payment of a final dividend in respect of the year 2019.

During the year an interim dividend of KShs 2.35 per share (2018 – KShs 2.35 per share), amounting to a total of KShs 45,884,798 (2018 – KShs 45,884,798) was paid. The total dividend for the year is therefore KShs 2.35 per share (2018 – KShs 5.20), amounting to a total of KShs 45,884,798 (2018 – KShs 101,532,320).

Payment of dividends is subject to withholding tax at a rate of either 5% for resident shareholders or 10% in for non-resident shareholders.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

15 Property, plant and equipment

(a) Group

	Freehold Land & buildings KShs'000	Plant & machinery KShs'000	Motor vehicles KShs'000	Cylinders KShs'000	Furniture and equipment KShs'000	Capital work in progress KShs'000	Total KShs'000
2019							
Cost:							
At 1 January 2019	133,755	592,295	226,907	775,193	41,744	76,409	1,846,303
Additions	-	10,230	1,169	6,594	65	65,442	83,500
Transfers	-	104,445	12,934	69	3,790	(121,238)	-
Disposals	-	-	(26,624)	-	-	-	(26,624)
Currency translation	(49)	64	(110)	26	(7)	-	(76)
At 31 December 2019	133,706	707,034	214,276	781,882	45,592	20,613	1,903,103
Depreciation:							
At 1 January 2019	(76,432)	(437,191)	(118,367)	(387,486)	(37,234)	-	(1,056,710
Charge for the year	(10,874)	(32,104)	(20,712)	(32,918)	(2,500)		(99,108)
On disposals	-	26,431	-	-	-	-	26,431
Currency translation	8	38	57	(15)	7	-	95
At 31 December 2019	(87,298)	(442,826)	(139,022)	(420,419)	(39,727)	-	(1,129,292)
Carrying value:							
At 31 December 2019	**46,408**	**264,208**	**75,254**	**361,464**	**5,865**	**20,612**	**773,811**

During the year, the Group received compensation of KShs 2,197,455 (2018 – KShs 3,698,813) from third parties for lost cylinders and disposal of replaced trucks. The net book value of the disposed assets was KShs 193,345.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

15 Property, plant and equipment (continued)

(a) Group (continued)

	Freehold Land & buildings KShs'000	Plant & machinery KShs'000	Motor vehicles KShs'000	Cylinders KShs'000	Furniture and equipment KShs'000	Capital work in progress KShs'000	Total KShs'000
2018							
Cost:							
At 1 January 2018	123,728	637,856	224,982	764,973	60,276	45,739	1,857,554
Transfers	-	15,394	-	3,096	-	(18,490)	-
Additions	-	3,288	13,162	7,893	-	49,160	73,503
Disposals Clean up	(1,190)	(60,905)	(47,613)	-	(18,057)	-	(127,765)
Align to Register	11,610	(1,617)	45,637	44	-	-	55,674
Disposals	-	(236)	(8,382)	-	(338)	-	(8,956)
Currency translation	(393)	(1,485)	(879)	(813)	(137)	-	(3,707)
At 31 December 2018	133,755	592,295	226,907	775,193	41,744	76,409	1,846,303
Depreciation:							
At 1 January 2018	(63,438)	(472,254)	(109,191)	(355,702)	(53,036)	-	(1,053,621)
Charge for the year	(4,202)	(26,505)	(18,873)	(32,252)	(2,663)	-	(84,495)
Disposals-Depreciation	-	78	7,356	-	287	-	7,721
Align to Register	(10,037)	-	(45,637)	-	-	-	(55,674)
On disposals-Clean up	1,190	60,905	47,613	-	18,057	-	127,765
Currency translation	55	585	365	468	121	-	1,594
At 31 December 2018	(76,432)	(437,191)	(118,367)	(387,486)	(37,234)	-	(1,056,710)
Carrying value:							
At 31 December 2018	**57,323**	**155,104**	**108,540**	**387,707**	**4,510**	**76,409**	**789,593**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

15 Property, plant and equipment (continued)

(b) Company

	Freehold Land & buildings KShs'000	Plant & machinery KShs'000	Motor vehicles KShs'000	Cylinders KShs'000	Furniture and equipment KShs'000	Capital work in progress KShs'000	Total KShs'000
2019							
Cost:							
At 1 January 2019	123,890	554,416	204,866	752,266	38,393	87,166	1,760,997
Additions	-	18,598	1,169	6,593	65	75,673	102,098
Transfers	-	104,445	12,934	69	3,790	(121,238)	-
Disposals	-	-	(24,587)	-	-	-	(24,587)
At 31 December 2019	123,890	677,459	194,382	758,928	42,248	41,601	1,838,508
Depreciation:							
At 1 January 2019	(74,541)	(419,753)	(106,991)	(373,334)	(34,060)	-	(1,008,679)
Charge for the year	(2,939)	(30,521)	(18,515)	(31,970)	(2,359)	-	(86,304)
On disposals	-	-	24,394	-	-	-	24,394
At 31 December 2019	(77,480)	(450,274)	(101,112)	(405,304)	(36,419)	-	(1,070,589)
Carrying value:							
At 31 December 2019	**46,410**	**227,185**	**93,270**	**353,624**	**5,829**	**41,601**	**767,919**

During the year, the Company received compensation of KShs 2,197,455 (2018 – KShs 3,421,293) from third parties for lost cylinders and disposal of replaced trucks.

15 Property, plant and equipment (continued)

(b) Company (continued)

	Freehold Land & buildings KShs'000	Plant & machinery KShs'000	Motor vehicles KShs'000	Cylinders KShs'000	Furniture and equipment KShs'000	Capital work in progress KShs'000	Total KShs'000
2018							
Cost:							
At 1 January 2018	113,469	598,257	202,062	741,232	56,536	45,739	1,757,295
Transfers	-	15,393	-	3,097	-	(18,490)	-
Additions	-	3,288	13,162	7,893	-	59,917	84,260
Align to Register	11,610	(1,617)	45,637	44	-	-	55,674
Disposal Clean-up	(1,189)	(60,905)	(47,613)	-	(18,057)	-	(127,764)
Disposals	-	-	(8,382)	-	(86)	-	(8,468)
At 31 December 2018	123,890	554,416	204,866	752,266	38,393	87,166	1,760,997
Depreciation:							
At 1 January 2018	(61,985)	(456,143)	(99,658)	(342,079)	(49,727)	-	(1,009,592)
Align to register	(10,037)	-	(45,637)	-	-	-	(55,674)
Charge for the year	(3,708)	(24,515)	(16,665)	(31,255)	(2,423)	-	(78,566)
Disposal Clean up	1,189	60,905	47,613	-	18,056	-	127,763
Disposals	-	-	7,356	-	34	-	7,390
At 31 December 2018	(74,541)	(419,753)	(106,991)	(373,334)	(34,060)	-	(1,008,679)
Carrying value:							
At 31 December 2018	**49,349**	**134,663**	**97,875**	**378,932**	**4,333**	**87,166**	**752,318**

Included in property, plant and equipment are assets with a gross value of KShs 204 809 022 (2018 – KShs 195,745,126) which are fully depreciated but still in use. The notional depreciation charge on these assets would have been KShs 31 493 389 (2018 – KShs 28,706,219).
There were no idle assets at 31 December 2019 and 2018. The Group had no property pledged as security as at 31 December 2019 and 31 December 2018.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

16 Right-of-use assets

Group and company

Right-of-use asset related to leased land.

	2019 KShs'000
Cost	
At 1 January	
Cost on initial application of IFRS 16 (Note 34)	7,470
Transfer from prepaid operating lease (Note 21)	3,084
At 31 December	**10,554**
Depreciation	
Depreciation charge for the year (Note 34)	(267)
Amortization for prepaid operating lease	(105)
Net carrying amount at 31 December	**10,182**

The Group has applied IFRS 16 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under IAS 17 and IFRIC 4. The details of the accounting policies under IAS 17 and IFRIC 4 are disclosed separately. The Company recognises a right-of-use asset and a lease liability at the commencement date. The right-of-use asset is initially measured at cost. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any.

17 Intangible assets

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Cost:				
At beginning and end of the year	16,857	16,857	16,622	16,622
Accumulated amortisation				
At beginning of year	(16,607)	(16,420)	(16,372)	(16,185)
Charge for the year	(188)	(187)	(188)	(187)
Translation differences	-	-	-	-
At end of year	(16,795)	(16,607)	(16,560)	(16,372)
Net carrying amount at 31 December	**62**	**250**	**62**	**250**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

18 Investment in subsidiaries

Company

	Percentage shareholding	2019 KShs'000	2018 KShs'000
East African Oxygen Limited	100%	-	-
BOC Tanzania Limited	100%	10	10
BOC Uganda Limited	100%	50	50
Kivuli Limited	100%	-	-
Total		**60**	**60**

East African Oxygen Limited is incorporated in Kenya and is a dormant company.

BOC Tanzania Limited and BOC Uganda Limited are incorporated in Tanzania and Uganda respectively. The principal activity of the companies is the sale of industrial and medical gases, and welding products.

Kivuli Limited, a structured consolidated entity, is incorporated in Kenya and holds certain investments on behalf of BOC Kenya Plc.

19 Equity and debt investments

Group and Company

	2019 KShs'000	2018 KShs'000
Non-current:		
Shares in quoted company	118,800	148,500
Treasury bonds	-	-
Corporate bonds	-	-
Total non-current	**118,800**	**148,500**
Current:		
Treasury bills	226,458	333,606

The weighted average effective interest rate on the treasury bills at year end was 9.36% (2018 – 11.1%).

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

20 Deferred tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2018 – 30%).

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Deferred tax asset	8,871	28,270	10,684	29,601
Deferred tax liability	-	-	-	-
At end of year	**8,871**	**28,270**	**10,684**	**29,601**

The movement on the deferred tax account is as follows:

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
At the beginning of year	28,270	24,711	29,601	23,836
IFRS 9 adjustments	-	7,631	-	8,734
Recognised in profit or loss (Note 12)	(14,477)	(4,042)	(13,994)	(2,974)
Unrealised gain/(loss) on FVOCI	4,923	5	4,923	5
Currency translation differences	1	(35)	-	-
At end of year	**8,871**	**28,270**	**10,684**	**29,601**

Consolidated deferred tax assets and deferred tax charge/(credit) to profit or loss account are attributable to the items on the next two pages:

Deferred tax of KShs. 6,575,000 (2018 – KShs 12,844,000) relating to tax losses and taxable temporary differences in a subsidiary Company have not been recognised in these financial statements due to uncertainty on the profitability of the subsidiary Company in the foreseeable future.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

20 Deferred tax (continued)

(a) Group

	At 1 January Kshs '000	IFRS 9 opening Adjustment Kshs '000	Recognised in profit or loss Kshs '000	Recognised in other comprehensive income Kshs '000	Foreign currency translation differences Kshs '000	At 31 December Kshs '000
Year ended 31 December 2019						
Property, plant and equipment	(55,648)	-	3,593	-	-	(52,055)
Unrealized loss on FVOCI financial assets	(5)	-	2,093	(4,923)	-	(2,835)
Accrued expenses and provisions	85,533	-	(22,613)	-	-	62,920
Unrealized loss on lease	-	-	71	-	-	71
Unrealized exchange (gains)\ losses	(1,610)	-	2,379	-	1	770
Totals	**28,270**	**-**	**(14,477)**	**(4,923)**	**1**	**8,871**
Year ended 31 December 2018						
Property, plant and equipment	(64,314)	-	8,420	-	246	(55,648)
Unrealized loss on FVOCI financial assets	(10)		-	5	-	(5)
Accrued expenses and provisions	87,285	7,631	(9,126)	-	(257)	85,533
Unrealized exchange (gains)\ losses	1,750	-	(3,336)	-	(24)	(1,610)
Totals	**24,711**	**7,631**	**(4,042)**	**5**	**(35)**	**28,270**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

20 Deferred tax (continued)

(b) Company

	At 1 January Kshs '000	IFRS 9 opening Adjustment Kshs '000	Recognised in profit or loss Kshs '000	Recognised in other comprehensive income Kshs '000	At 31 December Kshs '000
Year ended 31 December 2019					
Property, plant and equipment	(54,200)	-	3,958	-	(50,242)
Unrealized loss on FVOCI financial assets	(5)	-	2,094	(4,923)	(2,834)
Accrued expenses and provisions	84,481	-	(21,561)	-	62,920
Unrealized loss on lease	-	-	71	-	71
Unrealized exchange (gains)/losses	(675)	-	1,444	-	769
Totals	**29,601**	**-**	**(13,994)**	**(4,923)**	**10,684**
Year ended 31 December 2018					
Property, plant and equipment	(57,059)	-	2,859	-	(54,200)
Unrealized loss on FVOCI financial assets	(10)	-	-	5	(5)
Accrued expenses and provisions	78,999	8,734	(3,252)	-	84,481
Unrealized exchange (gains)/losses	1,906	-	(2,581)	-	(675)
Totals	**23,836**	**8,734**	**(2,974)**	**5**	**29,601**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

21 Prepaid operating leases

Group and Company

	2019 KShs'000	2018 KShs'000
Leases expiring beyond five years		
At the beginning of the year	3,084	3,188
Transfer to Right of Use Assets (Note 16)	(3,084)	(104)
At the end of the year	**-**	**3,084**

22 Inventories

	Group		Company	
	2019 KShs'000	**2018 KShs'000**	**2019 KShs'000**	**2018 KShs'000**
Raw materials	18,058	10,103	18,058	10,103
Finished goods and other saleable stock	98,015	129,183	89,374	111,662
Spares	58,370	52,733	58,370	52,733
Goods in transit	27,419	24,904	26,268	23,484
Impairment allowance	(46,830)	(54,300)	(40,838)	(48,755)
Total	**155,032**	**162,623**	**151,232**	**149,227**

The cost of inventory recognised as an expense and included in cost of sales amounted to KShs 517,016,000 (2018 – KShs 479,522,000) for Group and KShs 490,750,000 (2018 – KShs 459,908,000) for Company.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

23 Trade and other receivables

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Trade receivables	412,415	345,210	387,007	309,398
Allowance for impairment	(108,814)	(107,329)	(106,995)	(101,554)
	303,601	**237,881**	**280,012**	**207,844**
Receivables from related companies (Note 35(c))	25,264	19,101	49,123	53,185
Prepayments	6,742	16,995	6,647	8,939
Other receivables	38,750	32,252	15,186	10,567
Total	**374,357**	**306,229**	**350,968**	**280,535**

24 Tax recoverable

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
At 1 January	35,810	44,591	25,731	29,397
Charge for the year (Note 12)	(19,156)	(49,973)	(18,807)	(42,629)
Tax paid in respect of current year	37,191	41,689	35,466	38,963
Foreign currency translation	60	(497)	-	-
At 31 December	**53,905**	**35,810**	**42,390**	**25,731**
Tax recoverable	54,088	35,810	42,390	25,731
Tax payable	(183)	-	-	-
At 31 December	**53,905**	**35,810**	**42,390**	**25,731**

25 Term deposits

Term deposits comprise fixed and call deposits with financial institutions whose maturities are above three and twelve months.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

26 Cash and cash equivalents

For the purposes of the statement of cash flows, the year-end cash and cash equivalents comprise the following:

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Cash at bank and in hand	37,980	60,631	18,373	36,510
Bank overdraft	-	(40,297	-	(40,297
	37,980	**20,334**	**18,373**	**(3,787)**

The overdraft is secured by a guarantee by the Company's ultimate parent Company, Linde AG.

27 Share capital and share premium

(a) Share capital

Group and Company:

	Number of shares	Share capital KShs'000
Authorised (ordinary shares)	20,000,000	100,000
Issued and fully paid 2019 and 2018	19,525,446	97,627

The total authorised and issued number of ordinary shares is 19,525,446 with a par value of Shs 5 per share. All issued shares are fully paid up.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

(b) Share premium

Share premium arose when the shares of the Company were issued at a price higher than the nominal (par) value.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

28 Other reserves

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Fair value reserve	70,008	105,145	69,073	104,210
Foreign currency translation reserve	(31,628)	(32,290)	-	-
Total	**38,380**	**72,855**	**69,073**	**104,210**

(a) Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of financial instruments measured at fair value through Other Comprehensive Income (OCI), recognised in other comprehensive income excluding impairment losses, until the investment is derecognised.

(b) Foreign currency translation reserve

Translation reserves relate to differences arising from closing and opening exchange rates applicable to assets and liabilities in the subsidiaries.

29 Lease liability

Group and company

	2019 KShs'000	2018 KShs'000
Initial recognition	7,470	-
Interest on lease	971	
Payment in the year	(1,000)	-
Net carrying amount at 31 December	**7,441**	**-**
Non-current	6,556	-
Current	885	-
Net carrying amount at 31 December	**7,441**	**-**

The Group initially applied IFRS 16 at 1 January 2019, using the modified retrospective approach. Under this approach, comparative information is not restated.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate. Lease payments included in the measurement of the lease liability comprise of fixed payments made in the year, and current year unpaid leases. The lease liability is measured at amortised cost using the effective interest method.

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

30 Trade and other payables

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Cylinder deposits	213,385	211,698	182.090	180,265
Trade payables	137,999	109,406	122,443	88,543
Amounts due to related companies (Note 35(d))	37,631	58,845	30,037	41,678
Accruals and other payables	156,610	202,005	130,161	163,171
Total	**545,625**	**581,954**	**464,731**	**473,657**

31 Cash generated from operations

Reconciliation of profit before tax to cash generated from operating activities:

		Group		Company	
	Note	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Profit before tax		89,534	119,592	108,400	147,359
Adjustments for:					
Depreciation on PPE	15	99,109	84,495	86,304	78,566
Depreciation on ROU asset	34	267	-	267	-
Amortisation of intangible assets	17	188	187	188	187
Amortisation of prepaid operating lease	16	105	104	105	104
Profit on sale of property and equipment	9 (a)	(2,004)	(2,464)	(2,004)	(2,344)
Effect of foreign currency translations		387	4,228	-	-
Interest income	10 (a)	(41,390)	(63,470)	(36,969)	(59,056)
Interest on lease liability		971	-	971	
Dividend income	10 (a)	(10,395)	(10,395)	(10,395)	(10,395)
Changes in working capital:					
Trade and other receivables		(68,129)	(53,140)	(70,433)	(5,885)
Inventories		7,591	(21,794)	(2,005)	(20,969)
Trade and other payables		(36,329)	(11,601)	(8,926)	(26,196)
Cash generated from operating activities		**39,905**	**45,742**	**65,503**	**101,371**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

32 Contingent liabilities

At 31 December 2019, the Group and Company's Bankers had issued various guarantees in favour of third parties (primarily the Group and Company's public sector customers) amounting KShs 26,396,776 (31 December 2018 – KShs 10,208,911).

The Company has the following bank facilities:

Facility description	Limit (US$)
Letters of credit and guarantees	2,000,000
Working capital and advances	1,000,000
Foreign exchange	500,000

There are certain pending tax and legal claims brought against the Group and Company as at 31 December 2019 for which a provision has been made in the books, where deemed necessary.

In the opinion of the Directors, after taking appropriate legal advice, the outcome of certain tax and legal claims will not give rise to any significant loss beyond the amounts already provided in these financial statements.

33 Capital commitments

At 31 December 2019, the Group had capital commitments of KShs 18,706,119 (2018 – KShs 13,510,459).

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

34 Leases

The Company leases land and building space on which its Mombasa branch is located. The lease is for a period of 55 years with a remaining life of 28 years as at 1 January 2019. Information about leases for which the Company is a lessee is presented below:

	Group 2019 KShs'000	Company 2019 KShs'000
(i) Right-of-use assets		
Balance at 1 January	7,470	7,470
Depreciation charge for the year	(267)	(267)
Balance at 31 December (Note 16)	**7,203**	**7,203**
(ii)Amount recognised in profit or loss		
Depreciation	267	267
Interest on lease liabilities	971	971
(iii) Amount recognised in statement of cash flows		
Interest principal and interest paid	1,000	1,000
Total cash outflows for leases	**1,000**	**1,000**

The following table sets out a maturity analysis of lease payments, showing the undiscounted lease payments to be received after the reporting date.

	Group 2019 KShs'000	Company 2019 KShs'000
Not later than one year	2,907	1,000
Between 1 and 5 years	4,000	4,000
Longer than five years	25,000	25,000
Total	**31,907**	**30,000**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

35 Related party transactions

The ultimate parent of the Group is Linde plc a company incorporated and domiciled in Ireland. There are other companies that are related to BOC Kenya Plc through common shareholdings or common Directorships.

The following transactions were carried out with related parties:

(a) Purchase of goods and services

	2019 KShs'000	2018 KShs'000
Group		
BOC Group plc	9,031	2,825
African Oxygen Limited	50,361	65,723
Cryostar France	-	1,405
Total	**59,392**	**69,953**
Company		
BOC Group plc	9,031	2,825
African Oxygen Limited	36,655	55,485
Cryostar France	-	2,825
Total	**45,686**	**61,135**

Expenses incurred on behalf of other related parties were recharged at actual cost. Purchases from related parties were made at normal commercial terms and conditions similar to those offered to third parties.

(b) Sales to subsidiaries

	Company	
	2019 KShs'000	2018 KShs'000
Sales to subsidiaries:		
BOC Tanzania Limited	10,631	21,062
BOC Uganda Limited	5,045	19,519
Total	**15,676**	**40,581**

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

35 Related party transactions (continued)

(c) Outstanding balances included in receivables

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Due to BOC Kenya Plc:				
African Oxygen Limited	25,264	19,101	25,264	19,101
BOC Tanzania Limited	-	-	19,949	20,527
BOC Uganda Limited	-	-	3,910	13,557
Total	**25,264**	**19,101**	**49,123**	**53,185**

(d) Outstanding balances arising from the purchase of goods and services

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
BOC Group plc	86	14,435	86	14,435
African Oxygen Limited	37,545	40,159	29,951	22,992
Linde A.G.	-	3,250	-	3,250
Cryostar	-	1,001	-	1,001
Total	**37,631**	**58,845**	**30,037**	**41,678**

(e) Key management compensation

	2019 KShs'000	2018 KShs'000
Group and Company		
Salaries and short-term benefits	46,794	40,752

Key management compensation relates to salary and benefits paid to senior members of management excluding executive directors (whose remuneration is disclosed below)

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2019 (continued)

35 Related party transactions (continued)

(f) Directors' remuneration

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Fees	10,470	10,960	10,470	10,960
Salaries and short-term benefits	37,476	37,216	37,476	37,216
Total	**47,946**	**48,176**	**47,946**	**48,176**

(g) Dividends paid

	Group		Company	
	2019 KShs'000	2018 KShs'000	2019 KShs'000	2018 KShs'000
Group and Company				
BOC Group Plc	**66,381**	**68,296**	**66,381**	**68,296**

36 Subsequent events

On 11 March 2020, Corona Virus (COVID-19) was declared a pandemic by the World Health Organization, and most governments including Kenya took restrictive measures to contain its further spread affecting free movement of people and goods. The Group will on an ongoing basis evaluate the potential impacts that the pandemic will have on its activities, including its financial results.

In broad terms, it is expected that the pandemic:

(a) Will not adversely affect the Group's medical gases business. On the contrary, the pandemic may result in increased demand for medical oxygen from hospitals and other health facilities.

(b) May adversely impact the Group's industrial gases business. The measures that the Government takes to contain pandemic may result in reduced demand for the Company's industrial gases in the event that economic activity declines, especially in welding and fabrication businesses.

(c) May result in delays in the procurement of imported raw materials and finished products because of population movement restrictions that Governments around the world have imposed on their citizens. Supply chain costs may also increase.

(d) Will result in cost savings on certain of the Group's overheads, such as accommodation and travel costs. These savings will help mitigate against cost increases that may arise in supply chain costs.

No other matters or circumstances have occurred since the balance sheet date that would significantly affect the operations or the state of affairs of the Group in subsequent financial years.

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BOC Kenya Plc
Kitui Road, off Kampala Road
P.O. Box 18010
00500 Industrial Area
Nairobi, Kenya
Telkom: +254 20 6944000
Safaricom + 254 719 069000
Fax: + 254 20 6944001
Email: boceastafrica@boc.com
www.boc.co.ke